

**BANK MELLAT, HEAD OFFICE:
TAHRAN-IRAN
İSTANBUL TURKEY MAIN, ANKARA
AND İZMİR BRANCHES**

**INDEPENDENT AUDITOR'S
REPORT,
UNCONSOLIDATED FINANCIAL
STATEMENTS AND NOTES
FOR THE YEAR ENDED
31 DECEMBER 2013**

*Translated into English from the
Original Turkish Report*

**CONVENIENCE TRANSLATION OF
THE INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR 1 JANUARY 2013-31 DECEMBER 2013
ORIGINALLY PREPARED AND ISSUED IN TURKISH**

To the Board of Managers of Bank Mellat, Head Office: Tahrân-İran İstanbul Turkey Main, Ankara and İzmir Branches:

We have audited the accompanying unconsolidated balance sheet of Bank Mellat, Head Office: Tahrân-İran İstanbul-Turkey Main, Ankara and İzmir Branches ("the Branch") as at 31 December 2013 and the related statements of income, cash flows and changes in equity for the year then ended and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

The Branch's Board of Managers is responsible for the preparation and fair presentation of the financial statements in accordance with the regulation on "Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 and numbered 26333 and Turkish Accounting Standards ("TAS"), Turkish Financial Reporting Standards ("TFRS") and other regulations, circulars, communiqués and pronouncements in respect of accounting and financial reporting made by Banking Regulation and Supervision Agency ("BRSA"). This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the regulation on "Licensing and Operations of Audit Firms in Banking" published in the Official Gazette no: 26333 on 1 November 2006 and the International Standards on Auditing. We planned and performed our audit to obtain reasonable assurance whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the consideration of the effectiveness of internal control and appropriateness of accounting policies applied relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

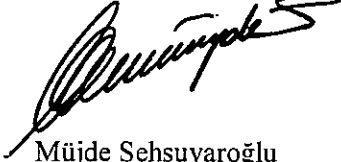
Independent Auditor's Opinion

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Bank Mellat, Head Office: Tahrân-İran İstanbul-Turkey Main, Ankara and İzmir Branches as at 31 December 2013 and the results of its operations and its cash flows for the year then ended in accordance with the prevailing accounting principles and standards set out as per the Article 37 of the Banking Act No: 5411, and other regulations, communiqués and circulars in respect of accounting and financial reporting and pronouncements made by BRSA.

Additional paragraph for English translation:

The effect of the differences between the accounting principles summarized in Section 3 and the accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Financial Reporting Standards (IFRS) have not been quantified and reflected in the accompanying financial statements. The accounting principles used in the preparation of the accompanying financial statements differ materially from IFRS. Accordingly, the accompanying financial statements are not intended to present the Bank's financial position and results of its operations in accordance with accounting principles generally accepted in such countries of users of the financial statements and IFRS.

DRT BAĞIMSIZ DENETİM VE SERBEST MUHASEBECİ MALİ MÜŞAVİRLİK A.Ş.
Member of **DELOITTE TOUCHE TOHMATSU LIMITED**



Müjde Şehsuvaroğlu
Partner

İstanbul, 31 March 2014

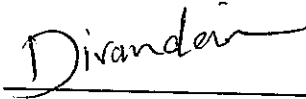
**THE UNCONSOLIDATED FINANCIAL REPORT OF
BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES AS OF 31 DECEMBER 2013**

Headquarter's Address : Taleghani Avenue. No: 327 Tahrān – İran
Turkey Main Branch Address : Büyükdere Cd. Binbirçiçek Sk. No.1 34330 1.Levent-
İstanbul/Türkiye
Telephone : (0212) 279 80 15
Fax : (0212) 284 62 14
Website : www.mellatbank.com
E-mail address : mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS
- OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

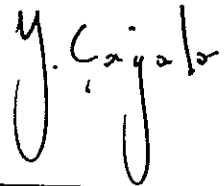
The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communiqué on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.



Ali Divandari
Chairman of the Board
of Managers



Younes Hormozi Sheikh
Tabagh
Member of the Board of
Managers and
General Manager



Yusuf Çağala
Member of the Board of
Managers and Internal
Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title : Yener Bozkurt / Accounting Department Chief
Phone No : (0212) 279 80 15
Fax No : (0212) 284 62 14

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SECTION ONE

GENERAL INFORMATION

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY:

Bank Mellat, Head Office: Tahran-İran İstanbul Türkiye Main, Ankara and İzmir Branches ("the Branch"), which is based in Tahran, Iran, established its branches in Istanbul, Ankara and Izmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH:

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahran, Iran, is as follows:

Shareholders	Share Percentage (%)
Justice share recipients (provincial investors) (*)	30,00
Islamic Republic of Iran	20,00
Social Security Organisation of Iran	9,99
Saba Tamin Investment Co.	6,57
Bank Mellat's staff future security fund	5,00
Personnel shares	3,96
Other Shares Quoted on Stock Exchange	24,48
Total	100,00

(*) These shares have been distributed to the provinces of Iran and investment firms have been established within the provinces to be able to manage the shares. This was proclaimed to BRSA with the correspondence dated on 16 August 2011.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2013**
Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

GENERAL INFORMATION (Continued)

III. EXPLANATION ABOUT THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, ANY CHANGES, AND THE INFORMATION ABOUT THE BRANCH SHARES THEY HOLD:

Title	Name	Responsibility	Title
Chairman of the Board of Managers:	Ali Divandari	Chairman	PHD (Doctor of Philosophy)
Members of Board of Managers:	Younes Hormozi Sheikh Tabagh	General Manager	Under Graduate
	Yusuf Çağala	Internal Audit, Internal Control and Risk Management	Under Graduate
Vice General Managers:			
	Ahmad Jamehdor	Vice General Manager Financial Controlling and Planning Human Resources Treasury	Under Graduate

The individuals above do not possess shares in the Branch.

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES:

	31 December 2013			
Name/Commercial title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	47.074	30,00%	47.074	-
Islamic Republic of Iran	31.383	20,00%	31.383	-

	31 December 2012			
Name/Commercial title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	47.074	30,00%	47.074	-
Islamic Republic of Iran	31.383	20,00%	31.383	-

V. BRIEF INFORMATION ON THE BRANCH'S SERVICES AND AREAS OF OPERATION:

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

As of 31 December 2013, the Branch has 50 employees (31 December 2012: 57 employees).

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2013
 Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	ASSETS	Note	CURRENT PERIOD 31 December 2013			PRIOR PERIOD 31 December 2012		
			TL	FC	Total	TL	FC	Total
I.	CASH AND BALANCES WITH CENTRAL BANK	(I-a)	3.060	64.304	67.364	5.833	48.392	54.225
II.	FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)	(I-b)						
2.1	Trading Financial Assets							
2.1.1	Public Debt Securities							
2.1.2	Share Certificates							
2.1.3	Trading Derivative Financial Assets							
2.1.4	Other Marketable Securities							
2.2	Financial Assets Designated at Fair Value through Profit or Loss							
2.2.1	Public Debt Securities							
2.2.2	Share Certificates							
2.2.3	Loans							
2.2.4	Other Marketable Securities							
III.	BANKS	(I-c)	43.027	33.083	76.110	65.173	106.909	172.082
IV.	MONEY MARKETS		8.501		8.501	67.709		67.709
4.1	Interbank Money Market Placements		8.501		8.501	67.709		67.709
4.2	Receivables from Istanbul Stock Exchange Money Market							
4.3	Receivables from Reverse Repurchase Agreements							
V.	AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)	(I-d)	108.016	42.079	150.095	45.035	28.696	73.731
5.1	Share Certificates		857		857			
5.2	Public Debt Securities		107.159		107.159	44.036		44.036
5.3	Other Marketable Securities			42.079	42.079	999	28.696	29.695
VI.	LOANS AND RECEIVABLES	(I-e)	17.795	5.326	23.121	19.610	10.012	29.622
6.1	Loans and Receivables		12.039	5.326	17.365	13.961	10.012	23.973
6.1.1	Bank's Risk Group		18		18	2.383	941	3.324
6.1.2	Public Debt Securities							
6.1.3	Other		12.021	5.326	17.347	11.578	9.071	20.649
6.2	Non-Performing Loans		7.797		7.797	7.644		7.644
6.3	Specific Provisions (-)		(2.041)		(2.041)	(1.995)		(1.995)
VII.	FACTORING RECEIVABLES							
VIII.	HELD-TO-MATURITY SECURITIES (Net)	(I-g)						
8.1	Public Debt Securities							
8.2	Other Marketable Securities							
IX.	INVESTMENTS IN ASSOCIATES (Net)	(I-h)						
9.1	Consolidated Based on Equity Method							
9.2	Unconsolidated							
9.2.1	Financial Investments in Associates							
9.2.2	Non-Financial Investments in Associates							
X.	SUBSIDIARIES (Net)	(I-i)						
10.1	Unconsolidated Financial Subsidiaries							
10.2	Unconsolidated Non-financial Subsidiaries							
XI.	ENTITIES UNDER COMMON CONTROL (JOINT VENT.) (Net)	(I-j)						
11.1	Consolidated Based on Equity Method							
11.2	Unconsolidated							
11.2.1	Financial Joint Ventures							
11.2.2	Non-Financial Joint Ventures							
XII.	FINANCIAL LEASE RECEIVABLES (Net)	(I-k)						
12.1	Financial Lease Receivables							
12.2	Operating Lease Receivables							
12.3	Other							
12.4	Unearned Income (-)							
XIII.	HEDGING DERIVATIVE FINANCIAL ASSETS	(I-l)						
13.1	Fair Value Hedge							
13.2	Cash Flow Hedge							
13.3	Foreign Net Investment Hedge							
XIV.	TANGIBLE ASSETS (Net)	(I-m)	8.462		8.462	8.595		8.595
XV.	INTANGIBLE ASSETS (Net)	(I-n)	371		371	555		555
15.1	Goodwill							
15.2	Other		371		371	555		555
XVI.	INVESTMENT PROPERTY (Net)	(I-o)						
XVII.	TAX ASSET	(I-p)	550		550	494		494
17.1	Current Tax Asset							
17.2	Deferred Tax Asset		550		550	494		494
XVIII.	ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)	(I-r)						
18.1	Held for Sale Purposes							
18.2	Related to Discontinued Operations							
XIX.	OTHER ASSETS	(I-s)	489	320	809	980	46	1.026
	TOTAL ASSETS		190.271	145.112	335.383	213.984	194.055	408.039

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2013
 Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	LIABILITIES	Note	CURRENT PERIOD 31 December 2013			PRIOR PERIOD 31 December 2012		
			TL	FC	Total	TL	FC	Total
I.	DEPOSITS	(II-a)	15.682	121.939	137.621	39.200	170.521	209.721
1.1	Deposits of Bank's Risk Group		10.311	43.543	53.854	18.053	132.897	150.950
1.2	Other		5.371	78.396	83.767	21.147	37.624	58.771
II.	TRADING DERIVATIVE FINANCIAL LIABILITIES	(II-b)	-	-	-	-	-	-
III.	FUNDS BORROWED	(II-c)	-	-	-	-	-	-
IV.	MONEY MARKETS		-	-	-	-	-	-
4.1	Funds from Interbank Money Market		-	-	-	-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-	-	-	-
V.	MARKETABLE SECURITIES ISSUED (Net)		-	-	-	-	-	-
5.1	Bills		-	-	-	-	-	-
5.2	Asset Backed Securities		-	-	-	-	-	-
5.3	Bonds		-	-	-	-	-	-
VI.	FUNDS		-	-	-	-	-	-
6.1	Borrower Funds		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	SUNDRY CREDITORS		181	1.185	1.366	958	6.418	7.376
VIII.	OTHER LIABILITIES	(II-d)	1.405	907	2.312	1.152	679	1.831
IX.	FACTORING PAYABLES		-	-	-	-	-	-
X.	FINANCIAL LEASE PAYABLES (Net)	(II-e)	-	-	-	-	-	-
10.1	Financial Lease Payables		-	-	-	-	-	-
10.2	Operational Lease Payables		-	-	-	-	-	-
10.3	Other		-	-	-	-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-	-	-	-
XI.	HEDGING DERIVATIVE FINANCIAL LIABILITIES	(II-f)	-	-	-	-	-	-
11.1	Fair Value Hedge		-	-	-	-	-	-
11.2	Cash Flow Hedge		-	-	-	-	-	-
11.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XII.	PROVISIONS	(II-g)	2.009	1.900	3.909	1.718	1.807	3.525
12.1	General Loan Loss Provision		474	1.843	2.317	403	1.760	2.163
12.2	Restructuring Provisions		-	-	-	-	-	-
12.3	Reserve for Employee Rights		1.169	-	1.169	867	-	867
12.4	Insurance Technical Provisions (Net)		-	-	-	-	-	-
12.5	Other Provisions		366	57	423	448	47	495
XIII.	TAX LIABILITY	(II-h)	715	-	715	1.507	-	1.507
13.1	Current Tax Liability		715	-	715	1.507	-	1.507
13.2	Deferred Tax Liability		-	-	-	-	-	-
XIV.	PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)	(II-i)	-	-	-	-	-	-
14.1	Held for Sale		-	-	-	-	-	-
14.2	Discontinued Operations		-	-	-	-	-	-
XV.	SUBORDINATED LOANS	(II-j)	-	-	-	-	-	-
XVI.	SHAREHOLDERS' EQUITY	(II-k)	189.460	-	189.460	184.079	-	184.079
16.1	Paid-in capital		156.914	-	156.914	156.914	-	156.914
16.2	Capital Reserves		(1.230)	-	(1.230)	348	-	348
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Marketable Securities Valuation Differences	(II-l)	(1.230)	-	(1.230)	348	-	348
16.2.4	Tangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.6	Revaluation differences of investment property		-	-	-	-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-	-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-	-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-	-	-	-
16.2.10	Other Capital Reserves		-	-	-	-	-	-
16.3	Profit Reserves		1.251	-	1.251	1.225	-	1.225
16.3.1	Legal Reserves		-	-	-	-	-	-
16.3.2	Status Reserves		-	-	-	-	-	-
16.3.3	Extraordinary Reserves		1.251	-	1.251	1.225	-	1.225
16.3.4	Other Profit Reserves		-	-	-	-	-	-
16.4	Profit or (Loss)		32.525	-	32.525	25.592	-	25.592
16.4.1	Prior Years' Income or (Loss)		25.566	-	25.566	-	-	-
16.4.2	Current Year Income or (Loss)		6.959	-	6.959	25.592	-	25.592
	TOTAL LIABILITIES		209.452	125.931	335.383	228.614	179.425	408.039

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2013
Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

II. STATEMENT OF OFF-BALANCE SHEET CONTINGENCIES AND COMMITMENTS

	OFF-BALANCE SHEET COMMITMENTS	Note	CURRENT PERIOD 31 December 2013			PRIOR PERIOD 31 December 2012		
			TL	FC	Total	TL	FC	Total
A.	OFF-BALANCE SHEET COMMITMENTS (I+II+III)		1.716	2.857	4.573	1.778	14.766	16.544
I.	GUARANTEES AND WARRANTIES	(III-a-2, 3)	1.599	2.857	4.456	1.662	14.766	16.428
1.1.	Letters of Guarantee		1.586	1.750	3.336	1.649	13.873	15.522
1.1.1	Guarantees Subject to State Tender Law		-	-	-	-	-	-
1.1.2	Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3	Other Letters of Guarantee		1.586	1.750	3.336	1.649	13.873	15.522
1.2.	Bank Acceptances		-	-	-	-	-	-
1.2.1	Import Letter of Acceptance		-	-	-	-	-	-
1.2.2	Other Bank Acceptances		-	-	-	-	-	-
1.3.	Letters of Credit		-	227	227	-	189	189
1.3.1	Documentary Letters of Credit		-	227	227	-	189	189
1.3.2	Other Letters of Credit		-	-	-	-	-	-
1.4.	Refinancing Given as Guarantee		-	-	-	-	-	-
1.5.	Endorsements		-	-	-	-	-	-
1.5.1	Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2	Other Endorsements		-	-	-	-	-	-
1.6.	Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7.	Factoring Guarantees		-	-	-	-	-	-
1.8.	Other Guarantees		-	-	-	-	-	-
1.9.	Other Collaterals		13	880	880	13	704	704
II.	COMMITMENTS	(III-a-1)	117	-	117	116	-	116
2.1.	Irrevocable Commitments		117	-	117	116	-	116
2.1.1	Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2	Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3	Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4	Loan Granting Commitments		-	-	-	-	-	-
2.1.5	Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6	Commitments for Reserve Deposit Requirements		-	-	-	-	-	-
2.1.7	Commitments for Cheques		-	-	-	-	-	-
2.1.8	Tax and Fund Liabilities from Export Commitments		117	-	117	116	-	116
2.1.9	Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10	Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11	Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12	Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13	Other Irrevocable Commitments		-	-	-	-	-	-
2.2.	Revocable Commitments		-	-	-	-	-	-
2.2.1	Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2	Other Revocable Commitments		-	-	-	-	-	-
III.	DERIVATIVE FINANCIAL INSTRUMENTS	(III-b)	-	-	-	-	-	-
3.1.	Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2.	Trading Transactions		-	-	-	-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5	Securities Options-Buy		-	-	-	-	-	-
3.2.3.6	Securities Options-Sell		-	-	-	-	-	-
3.2.4.	Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5.	Interest Rate Futures		-	-	-	-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6.	Other		-	-	-	-	-	-
B.	CUSTODY AND PLEDGES RECEIVED (IV+V+VI)		36.016	35.322	71.338	22.186	40.272	62.458
IV.	ITEMS HELD IN CUSTODY		88	28	116	22	22	22
4.1	Customer Fund and Portfolio Balances		-	-	-	-	-	-
4.2	Investment Securities Held in Custody		-	-	-	-	-	-
4.3	Checks Received for Collection		88	28	116	-	22	22
4.4	Commercial Notes Received for Collection		-	-	-	-	-	-
4.5	Other Assets Received for Collection		-	-	-	-	-	-
4.6	Assets Received for Public Offering		-	-	-	-	-	-
4.7	Other Items Under Custody		-	-	-	-	-	-
4.8	Custodians		-	-	-	-	-	-
V.	PLEDGES RECEIVED		21.196	35.294	56.490	19.146	40.250	59.396
5.1	Marketable Securities		-	-	-	-	-	-
5.2	Guarantee Notes		19.016	34.274	53.290	13.130	38.280	51.410
5.3	Commodity		-	-	-	-	-	-
5.4	Warranty		-	-	-	-	-	-
5.5	Immovable		-	-	-	-	-	-
5.6	Other Pledged Items		-	-	-	-	-	-
5.7	Pledged Items-Depository		2.180	1.020	3.200	6.016	1.970	7.986
VI.	ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES		14.732	-	14.732	3.040	-	3.040
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		37.732	38.179	75.911	23.964	55.038	79.002

The accompanying explanations and notes form an integral part of these financial statements.

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III. STATEMENT OF INCOME

	INCOME AND EXPENSE ITEMS	Note	CURRENT PERIOD (01/01/2013-31/12/2013)	PRIOR PERIOD (01/01/2012-31/12/2012)
I.	INTEREST INCOME	(IV-a)	14.270	76.222
1.1	Interest on Loans	(IV-a-1)	2.205	19.759
1.2	Interest Received from Reserve Requirements		-	-
1.3	Interest Received from Banks	(IV-a-2)	1.118	40.871
1.4	Interest Received from Money Market Transactions		1.645	7.302
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	8.547	7.925
1.5.1	Trading Financial Assets		-	-
1.5.2	Financial Assets at Fair Value Through Profit or Loss		-	-
1.5.3	Available-for-sale Financial Assets		8.547	7.925
1.5.4	Held-to-Maturity Investments		-	-
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		755	365
II.	INTEREST EXPENSE	(IV-b)	(688)	(42.907)
2.1	Interest on Deposits	(IV-b-4)	(688)	(39.238)
2.2	Interest on Funds Borrowed	(IV-b-1)	-	(3.669)
2.3	Interest Expense on Money Market Transactions		-	-
2.4	Interest on Securities Issued	(IV-b-3)	-	-
2.5	Other Interest Expenses		-	-
III.	NET INTEREST INCOME (I + II)		13.582	33.315
IV.	NET FEES AND COMMISSIONS INCOME		1.744	9.205
4.1	Fees and Commissions Received		1.887	9.435
4.1.1	Non-cash Loans		1.606	7.238
4.1.2	Other		281	2.197
4.2	Fees and Commissions Paid		(143)	(230)
4.2.1	Non-cash Loans		-	-
4.2.2	Other		(143)	(230)
V.	DIVIDEND INCOME	(IV-c)	-	-
VI.	TRADING INCOME/(LOSS) (Net)	(IV-d)	3.177	758
6.1	Trading Gains / (Losses) on Securities		-	-
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		3.177	758
VII.	OTHER OPERATING INCOME	(IV-e)	598	3.231
VIII.	TOTAL OPERATING INCOME (III+IV+V+VI+VII)		19.101	46.509
IX.	PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)	(IV-f)	(274)	(50)
X.	OTHER OPERATING EXPENSES (-)	(IV-g)	(10.302)	(14.955)
XI.	NET OPERATING INCOME/(LOSS) (VIII+IX+X)		8.525	31.504
XII.	EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER		-	-
XIII.	GAIN / (LOSS) ON EQUITY METHOD		-	-
XIV.	GAIN / (LOSS) ON NET MONETARY POSITION		-	-
XV.	PROFIT/(LOSS) FROM CONTINUED OPERATIONS BEFORE TAXES (XI+...+XIV)	(IV-h)	8.525	31.504
XVI.	PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)	(IV-i)	(1.566)	(5.912)
16.1	Current Tax Provision		(1.409)	(6.025)
16.2	Deferred Tax Provision		(157)	113
XVII.	NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)		6.959	25.592
XVIII.	INCOME FROM DISCONTINUED OPERATIONS		-	-
18.1	Income on assets held for sale		-	-
18.2	Income on sale of associates, subsidiaries and entities under common control (Joint vent.)		-	-
18.3	Income on other discontinued operations		-	-
XIX.	LOSS FROM DISCONTINUED OPERATIONS (-)		-	-
19.1	Loss from assets held for sale		-	-
19.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
19.3	Loss from other discontinued operations		-	-
XX.	PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)		-	-
XXI.	PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)		-	-
21.1	Current Tax Provision		-	-
21.2	Deferred Tax Provision		-	-
XXII.	NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)		-	-
XXIII.	NET PROFIT/LOSSES (XVII+XXII)	(IV-j)	6.959	25.592
	Earnings/(Loss) per share		-	-

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IV. STATEMENT OF PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY

PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY		CURRENT PERIOD 31 December 2013	PRIOR PERIOD 31 December 2012
I.	ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS	(2.227)	9.994
II.	TANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
III.	INTANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
IV.	CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS	-	-
V.	PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)	-	-
VI.	THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES	-	-
VII.	EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS	-	-
VIII.	OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS	-	-
IX.	DEFERRED TAX RELATED TO VALUATION DIFFERENCES	213	(319)
X.	NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)	(2.014)	9.675
XI.	CURRENT YEAR PROFIT/LOSS	436	(8.397)
1.1	Net change in fair value of marketable securities (transfer to profit-loss)	436	(8.397)
1.2	Reclassification of cash flow hedge transactions and presentation of the related under income statement	-	-
1.3	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement	-	-
1.4	Other	-	-
XII.	TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)	(1.578)	1.278

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	PRIOR PERIOD 01/01/2012 – 31/12/2012	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share in Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		53.655	-	-	-	-	-	1.301	-	58.529	44.654	(930)	-	-	-	-	157.209
II.	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Marketable Securities Valuation Differences (V-a)		-	-	-	-	-	-	-	-	-	-	1.278	-	-	-	-	1.278
4.1	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.1	Capital Increase		103.259	-	-	-	-	-	(76)	-	-	(103.183)	-	-	-	-	-	-
12.1	Cash Increase		-	-	-	-	-	-	-	-	-	3	-	-	-	-	-	-
12.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Share Premium		103.259	-	-	-	-	-	(76)	-	-	(103.183)	-	-	-	-	-	-
XIV.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	25.592	-	-	-	-	-	-	-
XVIII.	Profit Distribution		-	-	-	-	-	-	-	-	(58.529)	58.529	-	-	-	-	-	25.592
18.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.2	Transfers to Reserves		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Other		-	-	-	-	-	-	-	-	(58.529)	58.529	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		156.914	-	-	-	-	-	1.225	-	25.592	-	348	-	-	-	-	184.079

The accompanying explanations and notes form an integral part of these financial statements.

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY (Continued)

	CURRENT PERIOD 01/01/2013 - 31/12/2013	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/(Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		156.914	-	-	-	-	-	1.225	-	25.592	-	348	-	-	-	-	184.079
II.	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Marketable Securities Valuation Differences (V-d)		-	-	-	-	-	-	-	-	-	-	(1.578)	-	-	-	-	(1.578)
IV.1	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.2	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.3	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	Capital Increase	(V-c)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Paid In-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	6.959	-	-	-	-	-	-	-
XVIII.	Profit Distribution	(V-a)	-	-	-	-	-	-	26	-	(25.592)	25.566	-	-	-	-	-	6.959
18.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.2	Transfers to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Other		-	-	-	-	-	-	26	-	(25.592)	25.566	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		156.914	-	-	-	-	-	1.251	-	6.959	25.566	(1.230)	-	-	-	-	189.460

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VI. STATEMENT OF CASH FLOWS

	STATEMENT OF CASH FLOWS	Note	CURRENT PERIOD (01/01/2013 – 31/12/2013)	PRIOR PERIOD (01/01/2012 – 31/12/2012)
A.	CASH FLOWS FROM BANKING OPERATIONS			
1.1	Operating Profit before changes in operating assets and liabilities		1.082	38.901
1.1.1	Interest received		17.199	145.875
1.1.2	Interest paid		(1.953)	(106.368)
1.1.3	Dividend received		-	-
1.1.4	Fees and commissions received		1.861	9.285
1.1.5	Other income		541	3.282
1.1.6	Collections from previously written-off loans and other receivables		-	-
1.1.7	Payments to personnel and service suppliers		(6.239)	(6.494)
1.1.8	Taxes paid		(1.931)	(13.612)
1.1.9	Other		(8.396)	6.933
1.2	Changes in operating assets and liabilities		(72.648)	(2.549.131)
1.2.1	Net (increase) / decrease in trading financial assets		-	-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-	-
1.2.3	Net (increase) / decrease in banks		(9)	(10)
1.2.4	Net (increase) / decrease in loans		3.789	536.797
1.2.5	Net (increase) / decrease in other assets		290	208
1.2.6	Net increase in bank deposits		95.198	(3.122.477)
1.2.7	Net increase / (decrease) in other deposits		(166.034)	299.382
1.2.8	Net (decrease) in funds borrowed		-	(220.603)
1.2.9	Net increase / (decrease) in payables		-	-
1.2.10	Net increase in other liabilities		(5.882)	(42.428)
I.	Net cash provided from banking operations		(71.566)	(2.510.230)
B.	CASH FLOWS FROM INVESTING ACTIVITIES			
II.	Net cash provided from investing activities		(78.473)	42.199
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.3	Fixed assets purchases		(59)	-
2.4	Fixed assets sales		35	4.742
2.5	Cash paid for purchase of investments available-for-sale		(157.636)	(12.291)
2.6	Cash obtained from sale of investments available-for-sale		79.187	49.748
2.7	Cash paid for purchase of investment securities		-	-
2.8	Cash obtained from sale of investment securities		-	-
2.9	Other		-	-
C.	CASH FLOWS FROM FINANCING ACTIVITIES			
III.	Net cash provided from financing activities		-	-
3.1	Cash obtained from funds borrowed and securities issued		-	-
3.2	Cash used for repayment of funds borrowed and securities issued		-	-
3.3	Capital increase		-	-
3.4	Dividends paid		-	-
3.5	Payments for finance leases		-	-
3.6	Other		-	-
IV.	Effect of change in foreign exchange rate on cash and cash equivalents		10.336	(7.133)
V.	Net increase in cash and cash equivalents (I + II + III + IV)		(139.703)	(2.475.164)
VI.	Cash and cash equivalents at beginning of the period	(VI-a)	291.660	2.766.832
VII.	Cash and cash equivalents at end of the period (V + VI)	(VI-a)	151.957	291.668

The accompanying explanations and notes form an integral part of these financial statements

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
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 Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VII. PROFIT DISTRIBUTION TABLE

		CURRENT PERIOD (01/01/2013 – 31/12/2013)	PRIOR PERIOD (01/01/2012 – 31/12/2012)
I.	DISTRIBUTION OF CURRENT YEAR INCOME		
1.1	Current Year Income	8.525	31.504
1.2	Taxes And Duties Payable (-)	(1.566)	(5.912)
1.2.1	Corporate Tax (Income tax)	(1.409)	(6.025)
1.2.2	Income withholding tax	-	-
1.2.3	Other taxes and duties	(157)	113
A.	NET INCOME FOR THE YEAR (1.1-1.2)	6.959	25.592
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-) ^(*)	-	(113)
B.	NET INCOME AVAILABLE FOR DISTRIBUTION [(A+(1.3+1.4+1.5))]	6.959	25.479
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	-
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
II.	DISTRIBUTION OF RESERVES		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	EARNINGS PER SHARE		
3.1	To Owners Of Ordinary Shares	-	0,1631
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	DIVIDEND PER SHARE		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

Note: As of date of these financial statements, profit distribution for 2013 has not been defined yet.

(*) Deferred income tax is presented under other tax and legal liabilities. Deferred tax income can not be added into profit distribution, thus it is classified under extraordinary reserves.

The accompanying explanations and notes form an integral part of these financial statements

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VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As at 20 March 2013, the financial statements issued by the Headquarters of the Branch is presented below. The Headquarters of the Branch has not issued financial statements as at 31 December 2013 and 31 December 2012.

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE BALANCE SHEET (THOUSANDS OF USD)		
	CURRENT PERIOD (20 March 2013)	PRIOR PERIOD (19 March 2012)(*)
Cash and cash equivalents	572.828	489.100
Central bank	3.827.914	2.509.580
Other assets	43.394.732	28.423.266
Total Assets	47.795.474	31.421.946
Deposits	33.346.090	22.555.383
Other liabilities	12.159.158	6.962.891
Shareholders' equity	2.290.226	1.903.672
Total Liabilities	47.795.474	31.421.946

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE INCOME STATEMENT (THOUSANDS OF USD)		
	CURRENT PERIOD (20 March 2013)	PRIOR PERIOD (19 March 2012)(*)
Interest and investment income	3.319.542	3.006.425
Interest expense on deposits	(1.876.955)	(1.280.066)
Other expenses	(781.622)	(1.000.724)
Other income	1.564.046	1.013.831
Total net income	2.225.011	1.739.466
Personnel and operating expenses	(1.479.863)	(1.378.573)
Profit before tax	745.148	360.893
Taxes payables	(89.474)	(35.251)
Net Profit	655.674	325.642

(*) As restated.

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION:

The preparation of the financial statements and related notes and explanations in accordance with the Turkish Accounting Standards and Regulation on the Accounting Applications for Banks and Safeguarding of Documents:

The Branch, establishes its books of accounts, its unconsolidated balance sheets and the related statements and notes thereto in accordance with the provisions of Article 37 with respect to "Accounting and Reporting" of the Banking Law No. 5411 published in the Official Gazette No. 25983 dated 1 November 2005 and as per "The Regulation on the Procedures and Principles pertaining to Banks' Accounting Practices and Maintaining Documents" to be effective from 1 November 2006, and Turkish Accounting Standards ("TAS"), Turkish Financial Reporting Standards ("TFRS") and in addition, other regulations, circulars, communiqués and pronouncements in respect thereof.

As per the Statutory Decree No. 660 as published in the Official Gazette dated 2 November 2011, the Public Oversight, Accounting and Auditing Standards Authority ("Authority") was established. In preparation of the financial statements, Turkey Accounting Standards/Turkey Financial Reporting Standards promulgated by the Public Oversight, Accounting and Auditing Standards Authority ("KGK"), and the related statements and communiqués ("TAS/TFRS") thereto was considered.

The unconsolidated financial statements have been prepared in TL, under the historical cost convention and in accordance with inflation accounting except for the financial assets and liabilities carried at fair value.

The accounting policies and valuation methods adopted in the presentation of these financial statements are in accordance with TAS. These accounting policies and valuation methods are explained in Notes II. to XXVIII.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS:

The Branch's operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey ("CBRT") in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2013, rates used for conversion of foreign currency balances into Turkish Lira are TL 2,1343 for USD, TL 2,9344 for Euro and TL 0,02024 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES:

As of 31 December 2013 and 31 December 2012, the Branch has no investments in associates and subsidiaries.

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS:

Derivative instruments are measured at fair value on initial recognition and are subsequently re-measured at their fair values. The accounting method for the income or loss arising from derivative instruments depends on the derivative being used for hedging purposes or not and depends on the type of the item being hedged. As of 31 December 2013, the Branch has no derivative instruments that qualify for hedge accounting.

The Branch has no forward transactions, options or other derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.

The Branch, ceases accruing interest income on non-performing loans according to the related regulation.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES:

All fees and commission income/expenses are recognised on an accrual basis, except for certain commission income and fees for various banking services which are accounted for as income at the time of collection. Borrowing fees and commission expenses paid to other financial institutions are recognised as operational costs and recorded using the "effective interest method". Contract based fees or fees received in return for services such as the purchase and sale of assets on behalf of a third party or legal person are recognised as income at the time of collection.

VII. EXPLANATIONS ON FINANCIAL ASSETS:

The Branch classifies and accounts its financial assets as "Fair value through profit or loss", "Available-for-sale", "Loans and receivables" or "Held-to-maturity". Sales and purchases of the financial assets mentioned above are recognised at the "settlement dates". The appropriate classification of financial assets is determined at inception according to Branch management's purpose of purchase.

a. Financial assets at fair value through profit or loss:

This category has two sub categories: "Trading financial assets" and "Financial assets designated at fair value through profit or loss at initial recognition."

Trading financial assets are financial assets which were either acquired for generating a profit from short-term fluctuations in prices or dealers' margin, or are financial assets included in a portfolio in which a pattern of short-term profit making exists.

Trading financial assets are initially recognised at fair value and are subsequently re-measured at their fair value. However, if fair values cannot be obtained from the fair market transactions, it is accepted that the fair value cannot be measured reliably and financial assets are measured using the official prices announced by the CBRT. All gains and losses arising from these evaluations are recognised in the income statement. Interest earned while holding financial assets is reported as interest income and dividends received are included separately in dividend income.

Derivative financial instruments are classified as trading financial assets unless they are not designated as hedge instruments.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS (Continued)

b. Loans and receivables:

Financial assets that are originated by the Branch by providing money, services or goods to borrowers are categorised as loans and receivables. Loans and receivables originated by the Branch are carried initially at cost and subsequently recognised at the amortised cost value calculated using the "effective yield method".

If the collectibility of any receivable is identified as limited or doubtful by the management through assessments and estimates; the Branch, as per the provisions "Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" as published in the Official Gazette dated 1 November 2006 with No. 2633, categorizes them under group III, IV and V loans and provides specific provisions. The Bank may allocate specific provisions above the minimum rates as provided for the tier of the relevant loans which are financially weak and/or insolvent loans.

Provision expenses are deducted from the net income for the period. Uncollectible receivables are written-off after all the legal procedures are finalised. If there is a subsequent collection from a receivable that was already provisioned in the previous years, the recovery amount is presented in other income.

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under "loans and receivables" with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the "effective yield method"; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which cannot be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of 31 December 2013 and 31 December 2012.

d. Available-for-sale financial assets:

Financial assets available-for-sale consists of financial assets other than "Loan and receivables", "Held-to-maturity" and "Financial assets at fair value through profit or loss". Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders' equity as "Marketable securities value increase fund", unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders' equity are transferred to the income statement.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS:

Where the estimated recoverable amount of the financial asset, being the present value of the expected future cash flows discounted based on the "effective interest method", or the fair value if one exists is lower than its carrying value, then it is concluded that the asset under consideration is impaired. A provision is made for the diminution in value of the impaired financial asset and it is charged against the income for the year.

The principles regarding the accounting of provisions of loans and receivables are explained in detail in Note VII.b. of this section.

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS:

The Branch does not have any sales and repurchase agreements and securities lending transactions as of 31 December 2013 and 31 December 2012.

Securities subject to repurchase agreements ("repo") are classified as "Fair value difference through profit or loss", "Available-for-sale" and "Held-to-maturity" according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under "Funds Provided under Repurchase Agreements" in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the "effective interest method".

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

XI. EXPLANATIONS ON ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS AND EXPLANATIONS ON LIABILITIES RELATED WITH THESE ASSETS:

The Branch has no assets held for sale and discontinued operations and any related liabilities as at the balance sheet date (31 December 2012: None).

Assets held-for-resale consist of tangible assets that were acquired due to non-performing receivables, and are accounted in the financial statements in accordance with the "Communiqué Regarding the Principles and Procedures for the Disposals of Immovables and Commodities Acquired due to Receivables and for Trading of Precious Metal" published in the Official Gazette dated 1 November 2006, No.26333.

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill as at 31 December 2013 and 31 December 2012.

Intangible assets consist of softwares. The intangible assets are amortized in their useful lives, in 3 years, on a straight-line basis. At the balance sheet date TL 371 thousand of amortization expense (31 December 2012: TL 555 thousand).

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS:

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Furniture, fixture and vehicles	5 years

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2013 and 31 December 2012.

XIV. EXPLANATIONS ON LEASING TRANSACTIONS

The Branch has no leasing transactions as of 31 December 2013 and 31 December 2012.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with "Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets" ("TAS 37").

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a "contingent" liability exists and it is disclosed in the related notes to the financial statements.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the government bonds at the balance sheet date.

Amendments applicable to TAS 19 have been completed and which alters the accounting of the benefit plans and redundancy payments. The most important amendments are pertinent to the accounting of benefit liabilities and plan assets. These amendments necessitate that the alterations are entered in the records as the case maybe there are alterations in the benefit liabilities and the fair value of the plan assets, which therefore, annihilates the "corridor method" as permitted under the preceding version of TAS 19, thus facilitating the registration of past service costs in the records. In order for the net pension assets or liabilities maybe reflecting exact value of the plan gap or surplus, these alterations necessitate all the actuarial losses and profits are immediately recognized as under other comprehensive income. In addition, instead of estimated returns attained from the plan assets described in the preceding version of TAS 19 and interest expense on the plan assets, "net interest" amount which is calculated as the consequence of the discount rate applied to the determined net benefit liability or asset was used. Modifications to TAS 19 are applied retrospectively.

For this reason, the Branch Management has evaluated the impact of the accounting policy change on the previous balance sheets resolving that balance sheets have not been restated since the effect is not material for the financial statements.

Branch Management has evaluated the impact of the actuarial profit/loss for calculating the employment termination benefit on the current balance sheets and recognized the effect in the statement of income, since it's not material for the financial statements.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution ("SSI") on behalf of the employees. The Branch has no other payment obligations to employees or "SSI". These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as "Short-Term Benefits to Employees" in accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") are accrued in the periods that they were entitled to and they cannot be discounted.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION:

a. Current tax:

"Corporate Tax Law" ("New Tax Law") No.5520 was taken into effect after being published in the Official Gazette dated 21 June 2006 No.26205. Many clauses of the "New Tax Law" are effective from 1 January 2006. According to this Law, the corporate tax rate is 20% (2011: 20%). Corporate tax is calculated on the total income of the Bank after adjusting for certain disallowable expenses, exempt income (eg. gain on subsidiaries, investment incentives) and investments and other allowances (eg. research and development expenses). No further tax is payable unless the profit is distributed.

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after 23 July 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

Corporations are required to pay advance corporate tax quarterly at a rate of 20% on their corporate income. Advance tax is declared by the 14th and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if temporary prepaid tax remains, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and immovable properties held for at least two years is tax exempt, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the twenty fifth day of the following fourth month after the closing of the accounting year to which they relate.

Tax returns are open for five years from the beginning of the year following the date of filing during which period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings. Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

b. Deferred tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12"). In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON BORROWINGS:

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

XVIII. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2013 and 31 December 2012.

XIX. EXPLANATIONS ON ACCEPTANCES AND AVALIED DRAFTS:

Avalized drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments.

XX. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of 31 December 2013 and 31 December 2012.

XXI. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXII. EXPLANATIONS ON EARNINGS PER SHARE:

Earnings per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned.

	31 December 2013	31 December 2012
Distributable Net Profit to Ordinary Shares	6.959	25.592
Weighted Average Number of Issued Ordinary Shares (Thousand)	156.914	156.914
Earnings Per Share (Disclosed in full TL for nominal shares)	0,04435	0,16309

In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. For the purpose of earnings per share computations, the weighted average number of shares outstanding during the year has been adjusted in respect of bonus shares issued without a corresponding change in resources by giving them a retroactive effect for the year in which they were issued and for each earlier period.

XXIII. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXIV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS::

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

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FOR THE YEAR ENDED 31 DECEMBER 2013**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXV. EXPLANATIONS ON SEGMENT REPORTING:

Informations related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Informations about the operating segments as of 31 December 2013 are presented on the table below.

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2013					
Interest Income	23	2.937	11.310	-	14.270
Net Fees and Commissions Income	-	1.744	-	-	1.744
Other Operating Income and Trading Income/(Loss) (Net)	-	3.775	-	-	3.775
Operating Revenue	23	8.456	11.310	-	19.789
Interest Expense	(239)	(118)	(331)	-	(688)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.269)	(7.192)	(2.115)	-	(10.576)
Operating Expense	(1.508)	(7.310)	(2.446)	-	(11.264)
Operating Profit	(1.485)	1.146	8.864	-	8.525
Profit Before Tax	-	-	-	-	8.525
Corporate Tax	-	-	-	-	(1.566)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	-	6.959
Segment Assets (*)	341	22.780	302.070	10.192	335.383
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	341	22.780	302.070	10.192	335.383
Segment Liabilities(*)	5.527	79.555	53.905	6.936	145.923
Shareholders' Equity	-	-	-	189.460	189.460
Total Liabilities	5.527	79.555	53.905	196.396	335.383

(*) "Segment Assets" in "Other" column include tangible assets amounting to TL 8.462, intangible assets amounting to TL 371, tax assets amounting to TL 550 and other assets amounting to TL 809; "Segment Liabilities" in the "Other" column include other liabilities amounting to TL 2.312, provisions amounting to TL 3.909 and tax liability amounting to TL 715.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2012					
Interest Income	20	20.104	56.098	-	76.222
Net Fees and Commissions Income	-	9.205	-	-	9.205
Other Operating Income and Trading Income/(Loss) (Net)	-	3.989	-	-	3.989
Operating Revenue	20	33.298	56.098	-	89.416
Interest Expense	(420)	(5.406)	(37.081)	-	(42.907)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.035)	(10.607)	(3.363)	-	(15.005)
Operating Expense	(1.455)	(16.013)	(40.444)	-	(57.912)
Operating Profit	(1.435)	17.285	15.654	-	31.504
Profit Before Tax	-	-	-	-	31.504
Corporate Tax	-	-	-	-	(5.912)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	-	25.592
Segment Assets (*)	386	29.236	367.747	10.670	408.039
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	386	29.236	367.747	10.670	408.039
Segment Liabilities(*)	5.504	57.827	153.766	6.863	223.960
Shareholders' Equity	-	-	-	184.079	184.079
Total Liabilities	5.504	57.827	153.766	190.942	408.039

(*) "Segment Assets" in "Other" column amounting to TL 10,670 include tangible assets amounting to TL 8.595, intangible assets amounting to TL 555, tax assets amounting to TL 494 and other assets amounting to TL 1.026; "Segment Liabilities" in the "Other" column include other liabilities amounting to TL 1.831, provisions amounting to TL 3.525 and tax liability amounting to TL 1.507.

XXVII. RECLASSIFICATIONS

There are no reclassifications to the 31 December 2012 financial statements in order to be in conformity with the financial statements as of 31 December 2013.

XXVIII. OTHER INFORMATION

None.

SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO:

The capital adequacy ratio of the Branch is 67,80% (31 December 2012:55,22%)

Capital adequacy ratio is calculated within the scope of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (the "Regulation")", "Communiqué on Credit Risk Mitigation Techniques" and "Communiqué on Calculation of Risk Weighted Amounts for Securitizations" published in the Official Gazette No: 28337 dated 28 June 2012 and the "Communiqué on Equities of Banks" published in the Official Gazette No: 26333 dated 1 November 2006.

In the calculation of capital adequacy ratio, the data prepared from accounting records in compliance with the current legislation are used. Such accounting data is included in the calculation of credit and market risks subsequent to their designation as "trading book" and "banking book" according to the Regulation.

The items classified as trading book and the items deducted from the equity are not included in the calculation of credit risk. In the calculation of risk weighted assets, the assets subject to amortisation or impairment, are taken into account on a net basis after being reduced by the related amortisations and provisions.

In the calculation of the value at credit risk for the non-cash loans and commitments and the receivables from counterparties in such transactions are weighted after netting with specific provisions that are classified under liabilities and calculated based on the "Regulation on Identification of and Provision against Non-Performing Loans and Other Receivables". The net amounts are then multiplied by the rates stated in the Article 5 of the Regulation, reduced as per the "Regulation on Credit Risk Mitigation Techniques" and then included in the relevant exposure category defined in the article 6 of the Regulation and weighted as per Appendix-1 of the Regulation.

There is no the derivative financial instruments and the credit derivatives between the banking accounts.

As per the article 5 of the Regulation, the "counterparty credit risk" is calculated for repurchase transactions, securities and commodities borrowing agreements.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information related to capital adequacy ratio:

31 December 2013	Risk Weights								
	0%	10%	20%	50%	75%	100%	150%	200%	1250%
Value at Credit Risk									
Exposure Categories									
Conditional and unconditional receivables from central governments or central banks	145.456	-	-	-	-	21	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	-	-	790	-	-	76.179	-	-	-
Conditional and unconditional receivables from corporates	947	-	-	-	-	60.268	-	-	-
Conditional and unconditional retail receivables	189	-	-	-	-	1.024	-	-	-
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-	-	-	-	-
Past due receivables	-	-	-	-	-	5.926	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-	-	149	-	-
Securities collateralized by mortgages	-	-	-	-	-	-	-	-	-
Securitization positions	-	-	-	-	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-
Other receivables	38.972	-	-	-	-	9.251	-	-	-

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31 December 2012	Risk Weights								
	0%	10%	20%	50%	75%	100%	150%	200%	1250%
Value at Credit Risk									
Exposure Categories									
Conditional and unconditional receivables from central governments or central banks	119.347	-	-	-	-	29.145	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	53.075	-	3.672	-	-	132.019	-	-	-
Conditional and unconditional receivables from corporates	3.438	-	-	-	-	41.004	-	-	-
Conditional and unconditional retail receivables	58	-	-	-	-	680	-	-	-
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-	-	-	-	-
Past due receivables	-	-	-	-	-	5.791	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-	-	320	-	-
Securities collateralized by mortgages	-	-	-	-	-	-	-	-	-
Securitization positions	-	-	-	-	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-
Other receivables	22.352	-	-	-	-	10.076	-	-	-

Summary of the capital adequacy standard ratio:

	31 Decemeber 2013	31 December 2012
Capital Requirement for Credit Risk (Amount Subject to Credit Risk *0.08) (CRCR)	12.244	17.594
Capital Requirement for Market Risk (MRCR)	1.791	1.374
Capital Requirement for Operational Risk (ORCR)	8.549	7.904
Shareholders' Equity	191.383	185.496
Shareholders' Equity / ((TRWA + ASMR + ASOR) *12.5) *100	67,80	55,22

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items:

	31 December 2013	31 December 2012
CORE CAPITAL		
Paid-in capital	156.914	156.914
Nominal capital	156.914	156.914
Capital Commitments (-)	-	-
Inflation adjustment to share capital	-	-
Share premium	-	-
Share cancellation profits	-	-
Legal reserves	1.251	1.225
Inflation Adjustments to Legal Reserves	-	-
Profit	32.525	25.592
Current year profit (net)	6.959	25.592
Prior year profit	25.566	-
Provision for Possible Losses (up to 25% of Core Capital)	-	-
Income on Sale of Equity Shares and Real Estates	-	-
Primary subordinated loans up to 15% of the core capital	-	-
Loss (in excess of Reserves) (-)	-	-
Current Period's Losses -	-	-
Prior Periods' Losses	-	-
Leasehold Improvements on Operational Leases (-)	-	-
Intangible Assets (-)	(371)	(555)
Deferred Tax Asset in excess of 10% of Core Capital (-)	-	-
Excess amount in the Article 56, Clause 3 of the Banking Law (-)	-	-
Total core capital	190.319	183.176
SUPPLEMENTARY CAPITAL		
General provisions	2.317	2.163
45% of the revaluation reserve for movable fixed assets	-	-
45% of the of revaluation reserve for properties	-	-
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current	-	-
Primary subordinated loans excluded in the calculation of the core capital	-	-
Secondary subordinated loans	-	-
45 % of Securities Value Increase Fund	(1.230)	157
Inflation Adjustments to Other Capital and Profit Reserves and Prior Periods' Profit / Loss	-	-
Total supplementary capital	1.087	2.320
CAPITAL	191.406	185.496
DEDUCTIONS FROM CAPITAL		
Shareholdings of banks and financial institutions (Domestic, Foreign) in which the Bank has investments of ten percent or more	-	-
Shareholdings of banks and financial institutions (Domestic, Foreign) in which the Bank has investments less than ten percent total of which exceed ten percent of Bank's Core	-	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Secondary Subordinated Debts and Debt Instruments purchased from such parties qualified as Primary or Secondary Subordinated Debts	-	-
Loan granted to Customer against the Articles 50 and 51 of the Banking Law	-	-
The net book value of properties exceeding fifty percent of equity and properties held for sale and properties and commodity to be disposed, acquired in exchange of loans and receivables according to the Article 57 of the Banking Law and have not been disposed yet after 5 years from foreclosure	(23)	-
Securitization Positions to be Deducted from Equity	-	-
Other	-	-
TOTAL SHAREHOLDER'S EQUITY	191.383	185.496

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

"Internal Capital Assessment Process based on the Risk Management Policies and Implementation Procedures" was prepared and approved by Board of Managers as of 27 November 2012. The purpose of the evaluation process of the internal capital requirement, is to define and evaluate whether all the risks are included in the calculation of the legal capital requirements, and to provide the availability of adequate capital in order to cover for these risks and the application of the risk management techniques. Analysis of Internal Capital Adequacy for 2014 is presented to the Board of Managers on 17 February 2014.

Within this framework, 2013 capital structure is reviewed as based on the frame of the activities and risks exposed to, and the internal capital requirement, probable to occur within the direction of 2014 estimations and expectations of the Branch is evaluated. This evaluation for 2014 includes credit risk (general, country), market risk (interest rate risk, foreign currency risk, specific) and operational risk arising of the banking books as well as repricing, concentration and reputation risks.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK:

- a. Credit risk is monitored by reference to credit risk ratings and managed by limiting the aggregate risk to banks with high credibility rate and other financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans. Due to the imposed sanctions, the credit transactions of the Branch decreased in 2013.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department.

- b. At 31 December 2013, the Branch has no forward and option contracts or any other similar agreements.
- c. At 31 December 2013, the Branch has been faced with an insignificant amount of credit risk exposure.
- d. The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans which are passed due but not collected.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely monitored.

- e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.
- f. The Branch is not active in international banking market.
- g. 1. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (31 December 2012: 100%).
2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (31 December 2012: 100%).
3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is 6,42% (31 December 2012: 10%).
- h. The general loan loss provision amount provided for credit risk is TL 2.317 thousand (31 December 2012: TL 2.163thousand).

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

The Branch has not any internal rating model in order to evaluate during the loan application and assessment after granting loan.

	Current period Risk Amount (*)	Average Risk Amount (**)
Conditional and unconditional receivables from central governments or central banks	145.477	141.765
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	76.969	88.607
Conditional and unconditional receivables from corporates	61.215	63.667
Conditional and unconditional retail receivables	1.213	991
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	5.926	5.846
Receivables defined in high risk category by BRSA	149	265
Securities collateralized by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Investments similar to collective investment funds	-	-
Other receivables	48.223	38.301

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared starting from the date of publication of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks" (28 June 2012) to the period end.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions:

	Exposure Categories ^(*)															
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
Current Period																
1- Domestic	145,456	-	-	-	-	29,765	19,136	1,193	-	5,926	149	-	-	-	-	48,223
2- European Union(EU)	-	-	-	-	-	302	-	-	-	-	-	-	-	-	-	249,849
3- OECD Countries ^(**)	-	-	-	-	-	22	-	-	-	-	-	-	-	-	-	302
4- Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	22
5- USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6- Other Countries	21	-	-	-	-	-	42,079	20	-	-	-	-	-	-	-	89,000
7- Associates, Subsidiaries and Joint -Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8- Unallocated Assets/Liabilities ^{***}	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	145,477	-	-	-	-	76,969	61,215	1,213	-	5,926	149	-	-	-	-	339,172

^(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

^(**) Includes OECD countries other than EU countries, USA and Canada

^(***) Includes asset and liability items that can not be allocated on a consistent basis.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional retail receivables
- 9- Conditional and unconditional receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securities collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties:

	Exposure Categories(*)																		
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	TP	YP	Toplam
Agriculture	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	1.978	-	-	-	-	-	-	-	-	-	-	-	-
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	1.978	-	-	-	-	-	-	-	-	-	553	1.425	1.978
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	553	1.425	1.978
Construction	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Services	-	-	-	-	-	-	10.966	-	-	5.926	-	-	-	-	-	-	16.892	-	16.892
Wholesale and Retail Trade	-	-	-	-	-	29.766	6.192	-	-	-	-	-	-	-	-	-	1.391	34.567	35.958
Accommodation and Dining	-	-	-	-	-	-	6.105	-	-	-	-	-	-	-	-	-	-	6.105	6.105
Transportation and Telecom.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Financial Institutions	-	-	-	-	-	-	87	-	-	-	-	-	-	-	-	-	87	-	87
Real Estate and Rental Services	-	-	-	-	-	29.766	-	-	-	-	-	-	-	-	-	1.304	28.462	29.766	29.766
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	145.477	-	-	-	-	47.203	42.079	1.213	-	-	149	-	-	-	-	48.223	172.970	111.374	284.344
Total	145.477	-	-	-	-	76.969	61.215	1.213	-	5.926	149	-	-	-	-	48.223	191.806	147.366	339.172

* Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional retail receivables
- 9- Conditional and unconditional receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securities collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities:

31 December 2013	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Categories (*)(**)					
Conditional and unconditional receivables from central governments or central banks	12.353	6.183	49.482	36.561	11.081
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	11.017	-	-	-	-
Conditional and unconditional receivables from corporates	271	42.254	2.424	4.775	9.246
Conditional and unconditional retail receivables	278	1	103	434	138
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	149
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	23.919	48.438	52.009	41.770	20.614

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

(**) Credit risk amounts which have no maturities do not comprise in the table.

I. Exposure Categories:

External risk ratings are not used to determine the risk weights of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights:

Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	184.429	-	790	-	-	153.804	149	-	-	23
Exposures after Credit Risk Mitigation	185.565	-	790	-	-	152.666	149	-	-	2

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

n. Information by major sectors and type of counterparties:

As per the TAS and TFRS;

Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisions" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue upto 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

<i>31 December 2013</i>	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	-	-	-	-
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	7.366	-	-	1.928
Services	180	-	-	46
Wholesale and Retail Trade	180	-	-	46
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	251	-	-	67
Total	7.797	-	-	2.041

(*)The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for imparied loans.

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II. EXPLANATIONS ON CREDIT RISK (Continued)

n. Information by major sectors and type of counterparties: (Continued)

<i>31 December 2012</i>	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	4	-	-	4
Mining and Quarrying	-	-	-	-
Production	4	-	-	4
Electricity, Gas and Water	-	-	-	-
Construction	7.355	-	-	1.916
Services	285	-	-	75
Wholesale and Retail Trade	285	-	-	75
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	9.024	177	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	-	-	-	-
Total	7.644	9.024	177	1.995

(*)The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

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II. EXPLANATIONS ON CREDIT RISK (Continued)

o. Movements in value adjustments and provisions:

31 December 2013	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	1.995	79	(33)	-	2.041
General Provisions	2.163	154	-	-	2.317

31 December 2012	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	1.969	26	-	-	1.995
General Provisions	4.930	-	2.767	-	2.163

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III. EXPLANATIONS ON MARKET RISK:

The Branch defines the market risk as the fluctuations in its portfolio value with the changes in the parameters such as market prices, interest rate, currency rates and prices of common stocks.

The Bank has established market risk operations and has taken the necessary measures in order to hedge market risk within its financial risk management purposes, in accordance with the regulation that is published in the Official Gazette No: 28337 dated 28 June 2012 regulation on "Banks' Internal Control and Risk Management Systems" and the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

Trading activities in behalf of itself, trading securities and commodity lendings and derivative transactions are not used by the Branch.

Effect of TL interest rates fluctuations caused by the available for sales portfolio are assessed via duration method.

The Branch is exposed to the currency risk as the component of market risk. In principle board of managers are responsible for determine rules and limits for foreign currency position direction, amount and components, however this authority have been transferred to the Risk Committee. The Risk Committee is assessed the Turkey and global economic developments and if necessary the rules and the limits related to the foreign currency position are changed by the Risk Committee.

The parts of market risk is closely monitored by the board of managers as per the approved limits.

a. Information related to market risk:

	<i>31 December 2013</i>	<i>31 December 2012</i>
(I) Capital Obligation against General Market Risk - Standard Method	-	-
(II) Capital Obligation against Specific Risk - Standard Method	-	-
Capital Requirement against Specific Risks of Securitization Positions- Standard Method	-	-
(III) Capital Obligation against Currency Risk - Standard Method	1.791	1.374
(IV) Capital Obligation against Commodity Risk - Standard Method	-	-
(V) Capital Obligation against Settlement Risk - Standard Method	-	-
(VI) Total Capital Obligation against Market Risks of Options – Standard	-	-
(VII) Capital Requirement against Counterparty Credit Risks - Standard Method	-	-
(VIII) Total Capital Obligation against Market Risks of Banks applying Risk Measurement Models	-	-
(IX) Total Capital Obligation against Market Risk (I+II+III+IV+V+VI+VII)	1.791	1.374
(X) Value-At-Market Risk (12.5 x VIII) or (12.5 x IX)	22.388	17.175

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III. EXPLANATIONS ON MARKET RISK (Continued):

b. Market risk table of calculated market risk during the month ends

	<i>31 December 2013</i>		
	Average	Maximum	Minimum
Interest Rate Risk	-	-	-
Share Certificates Risk	-	-	-
Currency Risk	1.404	1.791	1.215
Commodity Risk	-	-	-
Settlement Risk	-	-	-
Option Risk	-	-	-
Counterparty Risk	-	-	-
Total Amount Subject to	1.404	1.791	1.215

	<i>31 December 2012</i>		
	Average	Maximum	Minimum
Interest Rate Risk	2.299	2.910	-
Share Certificates Risk	-	-	-
Currency Risk	2.025	2.485	1.374
Commodity Risk	-	-	-
Settlement Risk	-	-	-
Option Risk	-	-	-
Counterparty Risk	-	-	-
Total Amount Subject to	4.324	5.395	1.374

c. Quantitative information on counterparty risk

	Amount
Interest-Rate Contracts	-
Foreign-Exchange-Rate Contracts	-
Commodity Contracts	-
Equity-Shares Related Contracts	-
Other	-
Gross Positive Fair Values	-
Netting Benefits	-
Net Current Exposure Amount	-
Collaterals Received	-
Net Derivative Position	-

IV. EXPLANATIONS ON OPERATIONAL RISK:

The value at operational risk is calculated according to the basic indicator approach as per the Article 14 of "Regulation regarding Measurement and Assessment of Capital Adequacy Ratios of Banks".

The annual gross income is composed of net interest income and net non-interest income after deducting realised gains/losses from the sale of securities available-for-sale and held-to-maturity, extraordinary income and income derived from insurance claims at year-end.

Basic Indicator Approach	31.12.2010 Amount	31.12.2011 Amount	31.12.2012 Amount	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	41.391	88.376	41.203	56.990	15	8.549
Value at Operational Risk (Total*12.5)						106.856

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

V. EXPLANATIONS ON CURRENCY RISK:

The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path. The Branch does not hedge its foreign exchange debt instruments and net foreign exchange investments by the hedging derivatives.

The Branch holds position in line with the currency basket of CBRT to hedge the currency risk. Foreign Exchange asset-liability management has been effected as such all rates may be kept to be within liquidity and credit risks determined within the framework of risk-return profile of the Branch and in a way to ensure the sustainable profitability. Measurable and manageable risks have been undertaken as per the ratios that must be adhered to.

The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method"

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	ABD Doları	Euro	100 Japon Yeni	B.A.E. Dirhemi
31 December 2013 tarihi itibarıyla	2,1304	2,9344	2,0240	0,58055
30 December 2013 tarihi itibarıyla	2,1604	2,9844	2,0557	0,58870
27 December 2013 tarihi itibarıyla	2,0957	2,8693	1,9955	0,57107
26 December 2013 tarihi itibarıyla	2,0710	2,8353	1,9795	0,56436
25 December 2013 tarihi itibarıyla	2,0812	2,8466	1,9908	0,56712

The simple arithmetical averages of the Branch's foreign exchange bid rates for the last thirty days are:

USD:	TL 2,0571
Euro:	TL 2,8161
100 Japanese Yen:	TL 1,9854
A.E.D:	TL 0,56055

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

V. EXPLANATIONS ON CURRENCY RISK: (Continued)

Information on the foreign currency exchange rate risk of the Branch

	Euro	USD	Other FC	Total
31 December 2013				
Varlıklar				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	38.657	25.590	57	64.304
Banks	11.166	20.911	1.006	33.083
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	42.079	-	-	42.079
Loans and Receivables	402	5.326	-	5.728
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	11	309	-	320
Total Assets	92.315	52.136	1.063	145.514
Liabilities				
Bank Deposits	34.386	12.854	56	47.296
Foreign Currency Deposits	45.634	28.316	693	74.643
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	1.073	112	-	1.185
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	167	58	739	964
Total Liabilities	81.260	41.340	1.488	124.088
Net On-Balance Sheet Position	11.055	10.796	(425)	21.426
Net Off Balance Sheet Position	-	-	-	-
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	2.598	259	-	2.857
31 December 2012				
Total Assets	137.847	22.911	34.068	194.826
Total Liabilities	128.285	21.519	27.861	177.665
Net On-Balance Sheet Position	9.562	1.392	6.207	17.161
Net Off Balance Sheet Position	-	-	-	-
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	14.524	242	-	14.766

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position. Therefore, as of 31 December 2013, foreign currency indexed loans amounting to TL 402 thousand (December 31, 2012: TL 771 thousand) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL 1.843 thousand (31 December 2011: TL 1.760 thousand) has also not been included in the table above.

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VI. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

31 December 2013	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	-	-	-	-	-	67.364	67.364
Banks	11.017	-	-	-	-	65.093	76.110
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	8.501	-	-	-	-	-	8.501
Available-for-Sale Financial Assets	3.852	48.262	86.043	11.081	-	857	150.095
Loans and Receivables	17	176	7.704	9.468	-	5.756	23.121
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	-	-	-	-	-	10.192	10.192
Total Assets	23.387	48.438	93.747	20.549	-	149.262	335.383
Liabilities							
Bank Deposits	9.905	-	-	-	-	49.928	59.833
Other Deposits	1.272	11.406	1.927	-	-	63.183	77.788
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	1.366	1.366
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities ⁽²⁾	1.789	392	26	-	-	194.189	196.396
Total Liabilities	12.966	11.798	1.953	-	-	308.666	335.383
Balance Sheet Long Position	10.421	36.640	91.794	20.549	-	-	159.404
Balance Sheet Short Position	-	-	-	-	-	(159.404)	(159.404)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	10.421	36.640	91.794	20.549	-	(159.404)	-

(1) "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

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VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2012	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	-	-	-	-	-	54.225	54.225
Banks	39.202	13.583	23.582	-	-	95.715	172.082
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	67.709	-	-	-	-	-	67.709
Available-for-Sale Financial Assets	-	42.026	26.980	4.725	-	-	73.731
Loans and Receivables	9.071	5.285	4.131	5.486	-	5.649	29.622
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	22	-	633	-	-	10.015	10.670
Total Assets	116.004	60.894	55.326	10.211	-	165.604	408.039
Liabilities							
Bank Deposits	28.986	21.025	20.482	-	-	83.273	153.766
Other Deposits	10.762	8.998	2.127	-	-	34.068	55.955
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	7.376	7.376
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities ⁽²⁾	1.048	1.152	150	-	-	188.592	190.942
Total Liabilities	40.796	31.175	22.759	-	-	313.309	408.039
Balance Sheet Long Position	75.208	29.719	32.567	10.211	-	-	147.705
Balance Sheet Short Position	-	-	-	-	-	(147.705)	(147.705)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	75.208	29.719	32.567	10.211	-	(147.705)	-

(1) "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

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VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

31 December 2013	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	-	-	-
Banks and Other Institutions	-	-	-	8,00
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	3,50
Available-for-Sale Financial Assets	8,00	-	-	5,32
Loans and Receivables	-	7,02	-	15,03
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	-
Other Deposits	1,62	1,16	-	4,01
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December 2012	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	-	-	-
Banks and Other Institutions	3,64	-	-	12,93
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	5,00
Available-for-Sale Financial Assets	8,00	-	-	9,32
Loans and Receivables	9,83	-	-	15,85
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	2,14	-	-	-
Other Deposits	3,54	1,64	-	4,00
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Interest rate risk resulting from banking book:

According to "Regulation on Equities of Banks" published in the official gazette no 28756 dated 5 September 2013 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items whihc are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank's net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch's balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities, which having a fixed term, are sensitivite to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank's net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank's net interest income and negative economic value casued by the base of interest rate increase or decrease in the Bank's operations. The Branch has not used the different base of the operations.

Option risk

The option risk is defined as probable loss from bank's net interest income and negative economic value caused by the option right/liability included embedded. The Branch has not used derivative instruments. There is no interest sensitive items including option except time deposit and the part of amount is immaterial.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Economic value differences resulted from interest rate instabilities calculated according to Regulation on Measurement and Evaluation of Interest Rate Risk Resulted from Banking Book as per Standard Shock Method is as follows:

Type of Currency	Shocks Applied (+/- basis points)	Gains/Losses	Gains/Equity- Losses/Equity
1. TL	(+) 500	(3.199)	% (1,67)
	(-) 400	2.759	% 1,44
2. USD	(+) 200	(44)	% (0,02)
	(-) 200	2	% 0,00
3. EUR	(+) 200	(138)	% (0,07)
	(-) 200	5	% 0,00
Total (of negative shocks)		2.766	% 1,44
Total (of positive shocks)		(3.381)	% (1,76)

Position risk of equity shares on banking book

- a) Relation of risks with gains accounted under equity and analyzing according to their aims including strategic reasons and the accounting policies applied and general information about valuation techniques with assumptions in this application, the elements that manipulate valuation and important changes:

None.

b) Comparison of carrying, fair and market values of equity shares

Equities	Comparison		
	Carrying Value	Fair Value	Market Value
1) Securities Available for Sale	1.237	857	-
Quoted on Stock Exchange	-	-	-
2) Associates	-	-	-
Quoted on Stock Exchange	-	-	-
3) Subsidiaries	-	-	-
Quoted on Stock Exchange	-	-	-

c) Realized gains/losses, revaluation surpluses and unrealized gains/losses on equity securities and results included in core and supplementary capital

None.

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VII. EXPLANATIONS ON LIQUIDITY RISK:

Liquidity risk arises from the mismatching of maturities of assets and liabilities. The Branch balances the maturities of the related assets and liabilities, keeps the mismatch of maturities under control. Major objective of the Branch's asset and liability management is to ensure that sufficient liquidity is available to meet the Branch's commitments to customers and to satisfy the Branch's own liquidity needs.

The most important funding resources of the Branch for long-term and short-term liquidity needs are the headquarters and other banks.

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified ⁽¹⁾	Total
31 December 2013								
Assets								
Cash and the Central Bank of the Republic of Turkey	67.364	-	-	-	-	-	-	67.364
Banks	65.093	11.017	-	-	-	-	-	76.110
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	8.501	-	-	-	-	-	8.501
Available-for-sale Financial Assets	-	3.852	48.262	86.043	11.081	-	857	150.095
Loans and Receivables	-	17	176	7.704	9.468	-	5.756	23.121
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	-	-	2	124	-	-	10.066	10.192
Total Assets	132.457	23.387	48.440	93.871	20.549	-	16.679	335.383
Liabilities								
Bank Deposits	59.833	-	-	-	-	-	-	59.833
Other Deposits	63.183	1.272	11.406	1.927	-	-	-	77.788
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	1.366	-	-	-	-	-	-	1.366
Other Liabilities ⁽²⁾	-	1.789	392	26	-	-	194.189	196.396
Total Liabilities	124.382	3.061	11.798	1.953	-	-	194.189	335.383
Net Liquidity Gap	8.075	20.326	36.642	91.918	20.549	-	(177.510)	-
31 December 2012								
Total Assets	137.840	128.104	60.894	55.326	10.211	-	15.664	408.039
Total Liabilities	124.717	40.796	31.175	22.759	-	-	188.592	408.039
Net Liquidity Gap	13.123	87.308	29.719	32.567	10.211	-	(172.928)	-

(1) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, investments, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(2) Shareholders' Equity is presented under the "Other Liabilities" item in the "Unallocated" column.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Securitization Positions

None.

Credit Risk Mitigation Techniques

The Bank applies simple financial collateral method based on the Article 19 of the Communiqué on financial collateral that includes the effects of risk mitigation calculations at fair value in compliance with the Article 33 of the "Regulation on Credit Risk Mitigation Techniques".

For mitigating the credit risk, only cash and cash equivalents are used.

In cases, where there are maturity mismatches resulting from shorter remaining life of collateral than of receivables, the value of collateral is considered as the volatility-adjusted value.

Exposure Categories (31 December 2013)	Amount(**)	Financial Collaterals	Other/Physical Collaterals	Guaranties and Credit Derivatives
Conditional and unconditional receivables from central governments or central banks	145.477	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	76.969	-	-	-
Conditional and unconditional receivables from Corporates	61.215	947	11.644	-
Conditional and unconditional retail receivables	1.213	189	967	-
Conditional and unconditional receivables secured by Mortgages	-	-	-	-
Past due receivables(*)	5.926	-	5.926	-
Receivables defined in high risk category by BRSA	149	-	-	-
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	48.223	-	-	-

(*)The mortgages used for the determination of the risk categories as per the article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks", are excluded.

(**) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Credit Risk Mitigation Techniques (Continued)

Exposure Categories (31 December 2012)	Amount(**)	Financial Collaterals	Other/Physical Collaterals	Guaranties and Credit Derivatives
Conditional and unconditional receivables from central governments or central banks	148.492	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	188.766	53.075	-	-
Conditional and unconditional receivables from Corporates	44.442	3.438	10.703	-
Conditional and unconditional retail receivables	738	58	158	-
Conditional and unconditional receivables secured by Mortgages	-	-	-	-
Past due receivables(*)	5.791	-	5.791	-
Receivables defined in high risk category by BRSA	320	-	-	-
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	32.428	-	-	-

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VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Explanations on risk management objectives and policies

Risk is defined as a possibility of reduction in economic benefit in case of emerging a monetary loss related to a process or activity occurring an expense or loss.

The Bank is exposed to some risks due to perform activities in order to achieve its targets. Purpose of the risk management is to ensure that identification, measurement, reporting, monitoring, controlling of the risks exposed, in line with determined application procedures and the limits, and internal capital requirements consistent with the adopted risk profile within this context.

While risk management policies and procedures are determining, matters which are written below are considered.

- The bank's products and activities which has priority and weight, and their volume and property,
- The bank's organizational structure and human resources,
- Past events and experiences related to risks which will be exposed,
- The scope and quality of the data base for the risk management,
- The adequacy of the bank's technology and its contribution level of risk monitoring and management activities,
- Internal capital requirement and the actual capital levels and the level of risk consistent with these,

Risk management policies and procedures are determined and improved by considering bank's size, scope and complexity of activities and variety of used product, etc. When considered from this point of view, credit risk management is highly important.

Breakdown of financial liabilities according to their remaining contractual maturities:

31 December 2013	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	124.288	11.406	1.927	-	-	137.621
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-
Total	124.288	11.406	1.927	-	-	137.621

31 December 2012	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	157.089	30.023	22.609	-	-	209.721
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-
Total	157.089	30.023	22.609	-	-	209.721

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VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES:

The expected fair value of the demand deposits represents the amount to be paid upon request. The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates.

The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates. For the loans with floating interest rates, it is assumed that the carrying value reflects the fair value.

The following table summarises the carrying values and fair values of some financial assets and liabilities of the Branch. The carrying value represents the acquisition costs and accumulated interest accruals of corresponding financial assets or liabilities.

	Carrying Value		Fair Value	
	31 December 2013	31 December 2012	31 December 2013	31 December 2012
Financial Assets	257.827	343.144	260.980	343.633
Money Markets	8.501	67.709	8.501	67.709
Banks	76.110	172.082	76.110	172.082
Available-for-sale Financial Assets	150.095	73.731	150.095	73.731
Loans and Receivables	23.121	29.622	26.274	30.111
Financial Liabilities	138.987	217.097	138.987	217.097
Bank Deposits	59.833	153.766	59.833	153.766
Other Deposits	77.788	55.955	77.788	55.955
Funds Borrowed	-	-	-	-
Sundry Creditors	1.366	7.376	1.366	7.376

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VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES (Continued):

TFRS 7, "Financial Instruments: Disclosures", requires classification of line items at fair value presented at financial statements according to the defined levels. These levels depend on the observability of data used during fair value calculations. Classification for fair value is as follows:

Level 1: Assets or liabilities with prices recorded (unadjusted) in active markets

Level 2: Assets or liabilities that are excluded in the Level 1 of recorded prices directly observable by prices or indirectly observable derived through prices observable from similar assets or liabilities

Level 3: Assets and liabilities where no observable market data can be used for valuation

According to these classification principles stated, the Group's classification of financial assets and liabilities carried at their fair value are as follows:

31 December 2013	Level 1	Level 2	Level 3	Total
Financial Assets at Fair Value Through Profit or (Loss) (Net)	-	-	-	-
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	108.016	42.079	-	150.095
Public Debt Securities	107.159	-	-	107.159
Other Marketable Securities(1)	857	42.079	-	42.936
Total Assets	108.016	42.079	-	150.095
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-
31 December 2012	Seviye 1	Seviye 2	Seviye 3	Toplam
Financial Assets at Fair Value Through Profit or (Loss) (Net)	-	-	-	-
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	45.035	28.696	-	73.731
Public Debt Securities	44.036	-	-	44.036
Other Marketable Securities(1)	999	28.696	-	29.695
Total Assets	45.035	28.696	-	73.731
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-

IX. EXPLANATIONS ON ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PARTIES AND FIDUCIARY ASSETS:

The Branch does not perform buying transactions on behalf of customers, and gives custody, administration and advisory services. The Branch does not deal with fiduciary transactions.

SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS:

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT):

1. Information related to cash and the account of CBRT:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
Cash	757	36.811	3.104	19.247
The CBRT	2.303	27.493	2.729	29.145
Other	-	-	-	-
Total	3.060	64.304	5.833	48.392

2. Information related to the account of the CBRT:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
Demand Unrestricted Account ⁽¹⁾	97	-	303	-
Time Unrestricted Account	-	-	-	-
Time Restricted Account	2.206	15.939	2.426	12.100
Reserve Requirement	-	11.554	-	17.045
Total	2.303	27.493	2.729	29.145

⁽¹⁾ The TL reserve requirement booked as average has been classified in "Central Bank Demand Unrestricted Account" based on the correspondence with BRSA as of 3 January 2008.

3. Information on reserve requirements:

As of 31 December 2013, the reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 5% to 11,5% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 6% to 12,5% depending on the maturity of deposits.

b. Information on financial assets at fair value through profit or loss:

As of 31 December 2013, the Branch does not have any financial assets at fair value through profit or loss (31 December 2012: None).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

c. Information on Banks:

1. Information on banks:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
Banks				
Domestic	447	28.462	1.701	15.311
Foreign	20.706	1.244	706	5.551
Head Quarters and Branches Abroad	21.874	3.377	62.766	86.047
Other Financial Institutions	-	-	-	-
Total	43.027	33.083	65.173	106.909

2. Information on foreign banks account::

	Unrestricted Amount		Restricted Amount	
	31 December 2013	31 December 2012	31 December 2013	31 December 2012
EU Countries	301	3.536	-	-
USA, Canada	-	-	-	-
OECD Countries ⁽¹⁾	-	-	-	-
Off-Shore Banking Regions	-	-	-	-
Other	21.649	2.721	-	-
Total	21.950	6.257	-	-

⁽¹⁾ OECD countries except EU countries, USA and Canada.

d. Information on available-for-sale financial assets, net:

- As of 31 December 2013 there are no available for-sale-financial assets subject to repo transactions (31 December 2012: None).
- As of 31 December 2013 there are no available-for-sale financial assets given as collateral/blocked amount (31 December 2012: None).
- Information on available-for-sale financial assets:

	31 December 2013	31 December 2012
Debt Securities	149.295	73.731
Quoted on Stock Exchange	107.216	45.035
Not Quoted	42.079	28.696
Share Certificates	1.237	-
Quoted on Stock Exchange	1.237	-
Not Quoted	-	-
Impairment Provision (-)	(437)	-
Total	150.095	73.731

*Impairment Provisions for share certificates TL 380 thousands, for debt securities TL 57 thousands.

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EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	31 December 2013		31 December 2012	
	Cash	Non-cash	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders	-	-	-	-
Corporate Shareholders	-	-	-	-
Real Person Shareholders	-	-	-	-
Indirect Loans Granted to Branch's Shareholders	-	-	-	-
Loans Granted to Branch's Employees	140	14	217	14
Total	140	14	217	14

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

Cash Loans (31 December 2013)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	17.365	-	-	-	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	5.326	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial	-	-	-	-	-	-
Consumer Loans	320	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	11.719	-	-	-	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	17.365	-	-	-	-	-

(*)Discount notes are included that the balance.

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(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans: (Continued)

Cash Loans (31 December 2012)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	15.245	-	-	8.728	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial	2.408	-	-	456	-	-
Consumer Loans	489	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	12.348	-	-	8.272	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	15.245	-	-	8.728	-	-

(*)Discount notes are included that the balance.

Loans and other receivables with extended payment plans;

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
1 or 2 times	-	-
3, 4 or 5 times	-	-
Over 5 times	-	-

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EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

Loans and other receivables with extended payment plans (continued):

Extention Periods	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
0 - 6 months	-	-
6 - 12 months	-	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

3. Maturity analysis of cash loans:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	6.005	-	-	-
Non-specialised Loans	6.005	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	11.360	-	-	-
Non-specialised Loans	11.360	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	9.712	-	8.728	-
Non-specialised Loans	9.712	-	8.728	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	5.533	-	-	-
Non-specialised Loans	5.533	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards::

31 December 2013	Short-term	Long and medium term	Total
Consumer Loans - TL	33	144	177
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	144	144
Other	33	-	33
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	143	143
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	10	10
Other	-	133	133
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	33	287	320

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(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards (continued):

31 December 2012			
	Short-term	Long and medium term	Total
Consumer Loans - TL	122	150	272
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	150	150
Other	122	-	122
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	1	216	217
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	1	3	4
Other	-	213	213
Personnel Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	123	366	489

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

5. Information on commercial installment loans and corporate credit cards:

	31 December 2013			31 December 2012		
	Short Term	Medium and Long Term	Total	Short Term	Medium and Long Term	Total
Commercial Loans with Installment Facility - TL	-	10.671	10.671	2.031	4.469	6.500
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	10.671	10.671	2.031	4.469	6.500
Commercial Loans with Installment Facility – FC Indexed	-	402	402	-	771	771
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	402	402	-	771	771
Commercial Loans with Installment Facility – FC	-	-	-	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards – TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Corporate Credit Cards – FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Overdraft Accounts – TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts – FC (Legal Entities)	-	-	-	-	-	-
Total	-	11.073	11.073	2.031	5.240	7.271

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I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

6. (i) Information on loans by types and specific provisions:

31 December 2013	Corporate Loans	Consumer Loans	Total
Standart loans	17.045	320	17.365
Non-Performing loans	7.797	-	7.797
Specific Provisions (-)	(2.041)	-	(2.041)
Total	22.801	320	23.121

31 December 2012	Corporate Loans	Consumer Loans	Total
Standart loans	23.484	489	23.973
Non-Performing loans	7.644	-	7.644
Specific Provisions (-)	(1.995)	-	(1.995)
Total	29.133	489	29.622

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I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

6. (ii) Fair value of collaterals (Loans and advances given to customers):

31 December 2013	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans	5.756	-	5.756
Total	5.756	-	5.756

31 December 2012	Corporate Loans	Consumer Loans	Total
Watch listed	8.728	-	8.728
Non-Performing loans	5.649	-	5.649
Total	14.377	-	14.377

7. Loans according to type of borrowers::

	31 December 2013	31 December 2012
Public	-	-
Private	17.365	23.973
Total	17.365	23.973

8. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	31 December 2013	31 December 2012
Domestic Loans	17.365	8.915
Foreign Loans	-	15.058
Total	17.365	23.973

9. Loans granted to investments in associates and subsidiaries:

None (31 December 2012: None).

10. Specific provisions provided against loans:

	31 December 2013	31 December 2012
Loans and other receivables with limited collectibility	-	-
Loans and other receivables with doubtful collectibility	-	-
Uncollectible loans and other receivables	(2.041)	(1.995)
Total	(2.041)	(1.995)

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

11. Information on non-performing loans (Net):

11 (i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

11 (ii) Information on the movement of total non-performing loans:

	III. Group Loans and Other Receivables with Limited Collectibility	IV. Group Loans and Other Receivables with Doubtful Collectibility	V. Group Uncollectible Loans and Other Receivables
31 December 2012			7.644
Additions (+)	2.455	-	262
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	2.455	-	109
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2013			7.797
Specific provisions (-)	-	-	(2.041)
Net Balance on Balance Sheet			5.756

	III. Group Loans and Other Receivables with Limited Collectibility	IV. Group Loans and Other Receivables with Doubtful Collectibility	V. Group Uncollectible Loans and Other Receivables
31 December 2011		195	7.458
Additions (+)	-	-	6
Transfers from other categories of non-performing loans (+)	-	-	180
Transfers to other categories of non-performing loans (-)	-	(180)	-
Collections (-)	-	(15)	-
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2012			7.644
Specific provisions (-)	-	-	(1.995)
Net Balance on Balance Sheet			5.649

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

11. Information on non-performing loans (Net) (continued):

11 (iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

11 (iv) Information on non-performing loans according to user groups

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited	Loans and Other Receivables with Doubtful	Uncollectible Loans and Other Receivables
31 December 2013 (Net)	-	-	5.756
Loans to real and legal persons (Gross)	-	-	7.797
Specific provisions (-)	-	-	(2.041)
Loans to real and legal persons (Net)	-	-	5.756
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2012 (Net)	-	-	5.649
Loans to real and legal persons (Gross)	-	-	7.644
Specific provisions (-)	-	-	(1.995)
Loans to real and legal persons (Net)	-	-	5.649
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

12. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on the write-off policy

The Bank's general policy for write-offs of loans and receivables under follow-up is to write of such loans and receivables that are proven to be uncollectible in legal follow-up process.

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

g. Information on held-to-maturity investments:

As of 31 December 2013 and 31 December 2012, the Branch has no held-to-maturity securities.

h. Information on investment in associates (Net):

As of 31 December 2013 and 31 December 2012, the Branch has no investments in associates.

i. Information on subsidiaries (Net):

As of 31 December 2013 and 31 December 2012, the Branch has no subsidiaries.

j. Information on joint ventures:

As of 31 December 2013 and 31 December 2012, the Branch has no joint ventures.

k. Information on finance lease receivables (Net):

None (31 December 2012: None).

l. Explanations on hedging derivative instruments:

None (31 December 2012: None).

m. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
31 December 2012				
Cost	10.596	382	529	11.507
Accumulated depreciation	(2.461)	(241)	(210)	(2.912)
Net book value	8.135	141	319	8.595
31 December 2013				
Net book value at beginning of the year	8.135	141	319	8.595
Additions	60	58	110	228
Disposals, net	-	-	-	-
Transfers	-	-	-	-
Depreciation	(165)	(71)	(102)	(338)
Depreciation, Disposals	-	(12)	(11)	(23)
Depreciation, Transfers	-	-	-	-
Closing net book value	8.030	116	316	8.462
Cost at year end	10.655	373	602	11.630
Accumulated depreciation at year end	(2.625)	(257)	(286)	(3.168)
Closing net book value	8.030	116	316	8.462

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I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

n. Explanations on intangible assets:

	Software	Total
31 December 2013		
Net book value at beginning of the year	555	555
Additions	47	47
Disposals, net	-	-
Transfers	-	-
Depreciation	(210)	(210)
Depreciation, Disposals	(21)	(21)
Depreciation, Transfers	-	-
Closing net book value	371	371
Cost at year end	651	651
Accumulated depreciation at year end	(280)	(280)
Closing net book value	371	371

o. Explanations on investment property:

None (31 December 2012: None).

p. Explanations on investment property:

The Branch has no fiscal loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL550 thousand (31 December 2011: TL494 thousand) on net basis to deferred tax assets.

	31 December 2013		31 December 2012	
	Tax Base	Deferred Tax	Tax Base	Deferred Tax
Property, equipment and intangibles, net	1.215	243	1.155	231
Reserves for employment termination benefit	1.169	234	867	174
Court case provision	366	73	447	89
Total deferred tax asset	-	550	-	494
Total deferred tax liability	-	-	-	-
Deferred Tax Asset, net	-	550	-	494

r. Explanations on assets held for resale:

None (December 2012: None).

s. Explanations on other assets::

Other assets amount to TL 809 thousand (31 December 2012: TL1.026 thousand) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

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(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES:

a. Information on deposits

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2013:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	63	4	-	-	-	3	70
Foreign Currency Deposits	60.752	518	2.568	1.054	-	9.750	74.642
Residents in Turkey	27.277	296	2.195	-	-	-	29.768
Residents Abroad	33.475	222	373	1.054	-	9.750	44.874
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	2.328	708	-	-	-	-	3.036
Other Institutions Deposits	40	-	-	-	-	-	40
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	59.833	-	-	-	-	-	59.833
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	59.833	-	-	-	-	-	59.833
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	123.016	1.230	2.568	1.054	-	9.753	137.621

(ii) 31 December 2012:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	98	10	8	3	-	2	121
Foreign Currency Deposits	26.123	450	1.843	1.204	357	7.986	37.963
Residents in Turkey	8.405	266	1.486	282	153	242	10.834
Residents Abroad	17.718	184	357	922	204	7.744	27.129
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	7.818	-	10.022	-	-	-	17.840
Other Institutions Deposits	30	-	1	-	-	-	31
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	83.274	-	17.606	-	45.180	7.706	153.766
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	83.274	-	17.606	-	45.180	7.706	153.766
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	117.343	460	29.480	1.207	45.537	15.694	209.721

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES: (Continued)

a. Information on deposits (Continued):

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2013	31 December 2012	31 December 2013	31 December 2012
Saving Deposits	66	109	4	12
Foreign Currency Saving Deposits	3.444	2.430	2.035	2.995
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities' Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (31 December 2012: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	31 December 2013	31 December 2012
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Directors, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	288	781
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of 31 December 2013 and 31 December 2012, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
Borrowings from the CBRT	-	-	-	-
From Domestic Bank and Institutions	-	-	-	-
From Foreign Banks, Institutions and Funds	-	-	-	-
Total	-	-	-	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

c. Information on borrowings (Continued):

2. Information on maturity structure of borrowings:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
Short-term	-	-	-	-
Medium and Long-term	-	-	-	-
Total	-	-	-	-

As of 31 December 2013 and 31 December 2012, the Branch has no borrowings.

d. Information on other liabilities:

Other liabilities amount to TL 2.312 thousand (31 December 2012: TL 1.831 thousand) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of 31 December 2013 and 31 December 2012, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (31 December 2012: None).

g. Information on provisions:

1. Information on general loan loss provisions:

	31 December 2013	31 December 2012
General Loan Loss Provisions		
Loans and Receivables in Group I	745	620
- Additional Provision for Loans and Receivables with extended maturities	-	-
Loans and Receivables in Group II	-	174
- Additional Provision for Loans and Receivables with extended maturities	-	-
Non-Cash Loans	71	71
Others	1.501	1.298
Total	2.317	2.163

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on provisions (Continued):

2. Information on reserve for employee rights (Continued):

	31 December 2012	31 December 2011
Discount rate (%)	2,12	2,19
Rate for the Probability of Retirement (%)	95,90	93

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 3.438,22 (1 January 2013: TL 3.129,25) effective from January 1, 2014 has been taken into consideration in calculating the reserve for employment termination benefits.

Movements in the reserve for employment termination benefits during the periods are as follows:

	31 December 2013	31 December 2012
Prior Period Ending Balance	504	470
Provisions Recognised During the Period	470	46
Paid During the Period (-)	(92)	-
Reversed During the Period (-)	-	(12)
Balance at the End of the Period	882	504

In addition as of , the Branch has provided a provision for unused vacation rights amounting to TL 287 thousand as of 31 December 2013 (31 December 2012: TL363 thousand).

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of 31 December 2013, the Branch has provision related to foreign currency difference of foreign indexed loans amounting to TL 50 thousand (31 December 2013: TL 73 thousand).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of 31 December 2013, the Branch has specific provision for non-cash loans amounting to TL 57 thousand (31 December 2012: TL 47 thousand).

5. Information on other provisions:

(i) Information on provisions for possible risks::

As of 31 December 2013 and 31 December 2012, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

In the second quarter of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2013, the Branch had prudently provided a provision amounting to TL 366 thousand (31 December 2012: TL 447 thousand, the remaining TL 47 thousand provision is provided for indemnified cash loans). The remaining provision amounting to TL 57 thousand is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

h. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	31 December 2013	31 December 2012
Corporate Tax Payable	392	1.152
Taxation of Marketable Securities	1	19
Property Tax	2	2
Banking Insurance Transaction Tax (BITT)	22	87
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	17	12
Other	186	130
Total	620	1.402

(ii) Information on premium payables:

	31 December 2013	31 December 2012
Social Security Premiums – Employee	34	39
Social Security Premiums – Employer	54	58
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	2	3
Unemployment Insurance – Employer	5	5
Other	-	-
Total	95	105

3. Information on deferred tax liability:

The Branch has no deferred tax liability (31 December 2012: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (31 December 2012: None).

j. Explanations on subordinated loans:

The Branch has no subordinated loans as of 31 December 2013 and 31 December 2012.

k. Information on shareholders' equity:

1. Presentation of paid-in capital: Since the entity has the status of a branch, paid-in capital is not received in exchange for shares.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

k. Information on shareholders' equity (Continued):

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	156.914	156.914

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

None (31 December 2012: Branch's capital increase from total internal sources is TL 103.259 and this amount consist of both TL 103.183 in the current period from retained earnings and TL 76 thousand from deferred tax asset no longer required from retained earnings).

4. Information on share capital increases from capital reserves in current period:

None (31 December 2012 :TL 76 thousand from deferred tax no longer required from retained earnings has been accounted under the retained earnings, after capital approval this balance has been added to the capital).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

None (31 December 2012: None).

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainties and their possible effects on shareholders' equity:

There is no adverse change expected in the profitability and liquidity of the Branch.

7. Summarised information about privileges given to shares representing the capital:

None (31 December 2012: None).

l. Information on marketable securities value increase fund:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	(1.230)	-	348	-
Foreign Currency Difference	-	-	-	-
Total	(1.230)	-	348	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS:

a. Explanations on off-balance sheet commitments:

1. Type and amount of irrevocable commitments:

As of 31 December 2013, all commitments of the Branch are irrevocable. The commitments for cheques is TL 117 thousand (31 December 2012: TL 116 thousand).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments".

(i). Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2013	31 December 2012
Bank acceptance loans	-	-
Letters of credit	227	189
Other guarantees	893	717
Total	1.120	906

(ii). Revocable, irrevocable guarantees and other similar commitments and contingencies:

	31 December 2013	31 December 2012
Revocable letters of guarantee	565	-
Irrevocable letters of guarantee	1.938	10.453
Letters of guarantee given in advance	833	5.069
Guarantees given to customs	-	-
Other letters of guarantees	-	-
Total	3.336	15.522

3. (i) Total amount of non-cash loans:

	31 December 2013	31 December 2012
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	4.456	16.428
Total	4.456	16.428

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**III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):**

a. Explanations on off-balance sheet commitments (Continued):

(ii) Information on sectoral risk concentrations of non-cash loans:

	31 December 2013				31 December 2012			
	TL	(%)	FC	(%)	TL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	880	30,80	-	-	704	4,77
Mining	-	-	-	-	-	-	-	-
Production	-	-	880	30,80	-	-	704	4,77
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	748	46,78	1.058	37,03	-	-	11.388	77,12
Services	442	27,64	900	31,50	512	30,81	2.359	15,98
Wholesale and Retail Trade	442	27,64	791	27,69	442	26,59	189	1,28
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	-	-	44	1,54	-	-	35	0,24
Financial Institutions	-	-	-	-	-	-	1.250	8,47
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	-	-	65	2,28	70	4,22	885	5,99
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-
Other	409	25,58	19	0,67	1.150	69,19	315	2,13
Total	1.599	100,00	2.857	100,00	1.662	100,00	14.766	100,00

(iii) Information on non-cash loans classified in Group I and Group II:

31 December 2013	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	1.586	1.750	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	227	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	13	880	-	-
Total	1.599	2.857	-	-

31 December 2012	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	1.649	13.873	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	189	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	13	704	-	-
Total	1.662	14.766	-	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):

a. Explanations on off-balance sheet commitments (Continued):

(iv) Maturity distribution of non-cash loans:

31 December 2013 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	-	227	-	-	227
Letter of Guarantee	1.135	575	776	850	3.336
Other	893	-	-	-	893
Total	2.028	802	776	850	4.456

31 December 2012 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	-	189	-	-	189
Letter of Guarantee	15.014	16	492	-	15.522
Other	717	-	-	-	717
Total	15.731	205	492	-	16.428

⁽¹⁾ The distribution is based on the original maturities.

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of 31 December 2013 and 31 Decemeber 2012.

c. Explanations on contingent liabilities and assets:

In the second quarter of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2012, the Branch had prudently provided a provision amounting to TL 336 thousand (31 December 2012: TL 447 thousand). The remaining provision amounting to TL 47 thousand is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

d. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account as of 31 December 2013 and 31 December 2012.

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IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT:

a. Information on interest income:

1. Information on interest income on loans:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
Short-Term Loans	428	257	4.681	14.610
Medium and Long-Term Loans	1.507	-	468	-
Interest on Non-Performing loans	-	13	-	-
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	1.935	270	5.149	14.610

2. Information on interest income on banks:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
From the CBRT	-	-	-	-
From Domestic Banks	-	-	1.322	355
From Foreign Banks	-	-	269	140
Headquarters and Branches Abroad	631	487	3.150	35.635
Total	631	487	4.741	36.130

3. Information on interest income on marketable securities:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
From Trading Financial Assets	-	-	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
From Available-for-Sale Financial Assets	5.561	2.986	5.983	1.942
From Held-to-Maturity Investments	-	-	-	-
Total	5.561	2.986	5.983	1.942

4. Information on interest income received from investments in associates and subsidiaries:

The Branch has no interest income received from investments in associates and subsidiaries (31 December 2012: None).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense:

1. Information on interest expense on borrowings:

	31 December 2013		31 December 2012	
	TL	FC	TL	FC
Banks	-	-	-	3.669
The CBRT	-	-	-	-
Domestic Banks	-	-	-	-
Foreign Banks	-	-	-	3.669
Headquarters and Branches Abroad	-	-	-	-
Other Institutions	-	-	-	-
Total	-	-	-	3.669

2. Information on interest expense given to investments in associates and subsidiaries:

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2012: None).

3. Interest expense on Securities Issued:

The Branch has no interest expense given to securities issued (31 December 2012: None).

4. Maturity structure of the interest expense on deposits:

There are no deposits with seven days notification and accumulative deposits.

31 December 2013	Demand Deposits	Time Deposit					
		Up to 1 Month		Up to 1 Month		Up to 1 Month	
TL							
Bank Deposits	39	-	-	-	-	-	39
Saving Deposits	-	1	-	-	-	-	1
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	9	71	-	-	-	80
Other Deposits	-	-	-	-	-	-	-
Total	39	10	71	-	-	-	120
FC							
Foreign Currency Deposits	-	4	30	17	7	179	237
Bank Deposits	49	-	-	-	282	-	331
Gold Vault	-	-	-	-	-	-	-
Total	49	4	30	17	289	179	568
Grand Total	88	14	101	17	289	179	688

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(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense: (Continued)

31 December 2012	Demand Deposits	Time Deposit					
		Up to 1 Month		Up to 1 Month		Up to 1 Month	
TL							
Bank Deposits	144	-	-	-	4.054	-	4.198
Saving Deposits	-	5	1	-	-	-	6
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	645	631	-	-	-	1.276
Other Deposits	-	-	-	-	-	-	-
Total	144	650	632	-	4.054	-	5.480
FC							
Foreign Currency Deposits	-	13	79	37	5	280	414
Bank Deposits	2	-	-	-	33.342	-	33.344
Gold Vault	-	-	-	-	-	-	-
Total	2	13	79	37	33.347	280	33.758
Grand Total	146	663	711	37	37.401	280	39.238

c. Explanations on dividend income:

None (31 December 2012: None).

d. Explanations on trading loss/income (Net):

	31 December 2013	31 December 2012
Income	8.270	7.394
Income from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Gains	8.270	7.394
Loss (-)	(5.093)	(6.636)
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Loss	(5.093)	(6.636)
Net Income / Loss	3.177	758

e. Explanations on other operating income:

There are no extraordinary items included in other operating income.

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IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

f. Provision expenses related to loans and other receivables of the Branch:

	31 December 2013	31 December 2012
Specific Provisions for Loans and Other Receivables	79	50
III. Group Loans and Receivables	-	-
IV. Group Loans and Receivables	-	-
V. Group Loans and Receivables	79	50
General Provision Expenses	154	-
Provision Expense for Possible Risks	-	-
Marketable Securities Impairment Expense	41	-
Financial Assets at Fair Value Through Profit or Loss	-	-
Available-for-sale Financial Assets	41	-
Investments in Associates, Subsidiaries and Held-to-Maturity Securities	-	-
Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Held-to-maturity Securities	-	-
Other	-	-
Total	274	50

g. Information related to other operating expenses:

	31 December 2013	31 December 2012
Personnel Expenses	6.239	6.494
Reserve for Employee Termination Benefits	493	46
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	358	331
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	231	100
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	909	1.153
Operational Leasing Expenses	-	-
Maintenance Expenses	42	113
Advertisement Expenses	19	22
Other Expenses	848	1.018
Loss on Sales of Assets	-	-
Other	2.072	6.831
Total	10.302	14.955

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL 13.582 thousand (31 December 2012: TL 33.515 thousand), net fee and commission income amounting to TL 1.744 thousand (31 December 2012: TL 9.205 thousand) and total other operating expense amounting TL 10.302 thousand (31 December 2012: TL 14.955 thousand).

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

As of 31 December 2013, the Branch has a current tax expense of TL 1.409 thousand (31 December 2012: TL 6.025 thousand) and deferred tax income of TL 157 thousand (31 December 2012: TL 113 thousand expense).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

The Branch calculated net deferred tax income of TL 157 thousand (31 December 2012: deferred tax expense of TL 113 thousand) due to the occurrence of temporary differences as of 31 December 2012.

3. Explanations on reflection of temporary difference, financial loss, diminution of tax and exceptions on income statement:

As of 31 December 2013, the Branch has TL 157 thousand deferred tax expense due to the occurrence of temporary differences (31 December 2012: TL 113 thousand expense)

j. Explanations on net income/loss for the period:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

- k. Other items do not exceed 10% of the total income statement.**

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY:

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (31 December 2012: None).

c. Information on capital increase:

None. (31 December 2012: TL 103.259 thousand amount of capital increase due to the amount of TL 544 thousand of the branch's retained earnings and deferred tax from the undistributed profit for 2009 amounting to TL 18.276 thousand, for 2010 amounting to TL 26.378 thousand and for 2011 amounting to TL 58.529 thousand with a total TL 103.727 regarding the net off of TL 468 thousand deferred tax is announced with respect to BRSA's 27 November 2012 dated no 24111 article and 26 December 2012 dated no 8223 article in the Official Gazette)

d. Explanations on available-for-sale financial assets:

"Unrealised gain/loss" arising from changes in the fair value of securities classified as available-for-sale are not recognised in current year profit or loss statement but recognised in the "Marketable securities value increase fund" account under shareholders' equity, until the financial assets are derecognised, sold, disposed of or impaired.

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS:

a. Information on cash and cash equivalents:

1. Components of cash and cash equivalents and the accounting policy applied in their determination:

Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents".

2. Effect of a change on the accounting policies: None (31 December 2012: None).
3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

(i). Information on cash and cash equivalents at the beginning of the year:

	31 December 2013	31 December 2012
Cash	223.968	2.703.332
Cash and Effectives	22.351	25.117
Demand Deposits in Banks	201.617	2.678.215
Cash Equivalents	67.700	63.500
Interbank Money Market Placements	67.700	63.500
Time Deposits in Banks	-	-
Total Cash and Cash Equivalents	291.668	2.766.832

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

(ii). Information on cash and cash equivalents at the end of year:

	31 December 2013	31 December 2012
Cash	143.457	223.968
Cash and Effectives	37.568	22.351
Demand Deposits in Banks	105.889	201.617
Cash Equivalents	8.500	67.700
Interbank Money Market Placements	8.500	67.700
Time Deposits in Banks	-	-
Total Cash and Cash Equivalents	151.957	291.668

- b. Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons:**

None (31 December 2012: None).

- c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:**

Decrease in the "Other" item amounting to TL 10.333 thousand (31 December 2012: TL 6.933 thousand decrease) which is classified under "Cash flows from banking operations" consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses.

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL 10.336 thousand as of 31 December 2013 (31 December 2012: TL (7.133) thousand).

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VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP:

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. 31 December 2013:

Branch's Risk Group ^{(1), (2)}	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Cash	Non-Cash	Cash
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	155.542	1.250
Balance at the End of the Period	-	-	-	-	25.408	14
Interest and Commission Income Received	-	-	-	-	1.275	16

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

2. 31 December 2012:

Branch's Risk Group ^{(1), (2)}	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Cash	Non-Cash	Cash
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	2.638.501	16.092
Balance at the End of the Period	-	-	-	-	155.542	1.250
Interest and Commission Income Received	-	-	-	-	9.906	195

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

Branch's risk group ⁽¹⁾	Investments in Associates, Subsidiaries and Joint Ventures		Direct and Indirect Shareholders of the Branch		Other Real and Legal Persons That Have Been Included in the Risk Group	
	31 December 2013	31 December 2012	31 December 2013	31 December 2012	31 December 2013	31 December 2012
Deposit						
Balance at the Beginning of the Period	-	-	-	-	150.950	2.953.541
Balance at the End of the Period ⁽²⁾	-	-	-	-	53.854	150.950
Interest Expense on Deposits	-	-	-	-	331	33.412

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.

(2) As of 31 December 2013, the TL 53.854 thousand of the TL 42.387 thousand included in balance sheet Deposits – Risk Group is composed of Bank Mellat Head Office. TL 11.178 thousand is composed of Iran Central Bank.

(As of 31 December 2012, the TL150.950 thousand of the TL 130.429 thousand included in balance sheet Deposits – Risk Group is composed of Bank Mellat Head Office. TL20.521 thousand is composed of Iran Central Bank.

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VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued):

4. Information on borrowings from the Branch's risk group:

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) 31 December 2013- None (31 December 2012: None).

- The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2013 and 31 December 2012.

- As of 31 December 2012, benefits provided to the Branch's key management amount to TL 1.732 thousand (31 December 2012: TL 1.632 thousand).

	Number	Number of Employees			
Domestic Branch	3	50			
			Country of Incorporation		
Foreign Rep. Offices					
				Total Assets	Statutory Share Capital
Foreign Branch					
Off-Shore Banking Region Branch					

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IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Shareholding structure of the Bank Mellat of Tehran-Iran presented herein below as at 15 February 2014, holding the whole equity of the Branch has been reported to the BRSA (Banking Regulation and Supervision Agency) in the statement dated 27 February 2014 and with No. 1007.

No	Shareholder	Rate
1	ADALET HİSSELERİ (EYALET YATIRIM FİRMALARI)	30,00
2	İRAN İSLAM CUMHURİYETİ	19,66
3	SOSYAL GÜVENLİK KURUMU	9,99
4	SABA TEMİN YATIRIM FİRMASI	6,49
5	BANK MELLAT PERSONEL GELECEK GÜVENLİK FONU	5,10
6	PERSONEL PAYLARI	3,96
7	MELLAT MALİ GRUBU	3,61
8	İRAN GENEL DAĞITIM FİRMASI	2,15
9	MOEIN ATIYE KHAHAN KOOPERATİF FİRMASI	1,78
10	ŞİRİN ASAL ŞİRKETİ	1,46
11	PETROL EMEKLİLİK SANDIĞI YATIRIM FİRMASI	1,28
12	İRAN ULUSAL YATIRIM ŞİRKETİ	1,11
13	MELLAT SİGORTA ŞİRKETİ	1,02
14	OMRAN RAZAVİ ULUSLARASI FİRMASI (ŞİRKETİ)	1,02
15	DİĞER ORTAKLAR (%1 ALTINDA KALAN)	11,37
TOTAL		100,00

In accordance with the statement of BRSA dated 5 March 2014, the Branch was granted with the license to carry out its activities with regards to insurance agency and brokerage services.

SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS:

As per the Financial Restrictions Imposed on Iran by the decree dated 9 October 2009, the UK Department of Treasury has banned the whole financial sector from being engaged in financial activities with Bank Mellat. Thereafter, Bank Mellat has attempted legal action against this decision. As of 19 June 2013, the Court of Queen's Bench (the UK) has announced its judgment on the said attempts and pursuant to the said judgment; it has invalidated the aforesaid mandate of the Department of Treasury with respect to the Financial Limitations Imposed on Iran.

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT:

The unconsolidated financial statements as of 31 December 2013 have been audited by DRT Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. (a member of Deloitte Touche Tohmatsu Limited).

The independent auditor's report is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR:

There is no significant matter or disclosure which may be in connection with the Bank's operations but not explained in the above sections.